Financial Report

McDonald's

For Professor M. Massoud

Econ 86

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Executive Summary

This report provides an in-depth analysis and evaluation of the profitability, liquidity, financial flexibility, and a S.W.O.T. analysis of the McDonald's Corporation as of 31 December, 2018. The S.W.O.T. analysis includes the different strengths, weaknesses, opportunities and threats of McDonald's Corporation. In addition to these financial analyses, the report also includes an overview of the company's E.S.G. information, which includes corporate governance, environmental responsibility programs and social responsibility programs. Lastly, this is followed by a briefing of its major accounting policies.

The methods used to analyze profitability, liquidity, and financial flexibility of McDonald's Corporation include a trend analysis, ratio analysis and a common-size analysis. Each of these methods are visually represented on graphs then further interpreted in their respective sections within the report. At the end of each section, the conclusion paragraph takes into account all data and creates a brief statement of the firm's financial position in relation to the specific area of examination.

McDonald's was primarily analysed in comparison to one of their main competitors, Yum! Brands, which operates KFC, Taco Bell and Pizza Hut. Both companies employ a franchise model, distribute similar products, and are in the fast food industry. The two companies are compared on the basis of all aspects: profitability, liquidity, and financial flexibility. While analysing specific brands, we were also cognizant of the fast food industry as a whole being the context. In conclusion, the comprehensive analysis of strategy and financials, grounded in accounting techniques, for McDonald's will yield a well-informed financial report.

Company Profile

The first McDonald's restaurant was opened by Maurice and Richard McDonald in 1948 in San Bernardino, California. Upon securing the rights to franchise from the McDonald brothers, Ray Krok opened the first McDonald's franchise in 1955 and launched the McDonald's Corporation. By 1961, Kroc bought out the McDonald's brothers and by 1965 McDonald's Corporation became a publicly traded company. During the 1990's it was said a new McDonald's opened every five hours and since then, the corporation has experienced steady growth.

Today, McDonald's restaurants are limited-service fast food restaurants with more than 37,000 restaurants and 2 million employees in over 100 countries. Products and symbols which define the brand include, the face of the company, Ronald McDonald (a fictitious clown), and products such as the Big Mac (1968), the Egg McMuffin (1973), Happy Meals (1979) and Chicken McNuggets (1983). Their uniform menu consists of their aforementioned standard products and also include locally relevant food, such as the *McAloo* in India or the *Stroopwafel McFlurry* in the Netherlands. As a global company, McDonald's restaurants have to be adaptive to local food palettes in order to be a popular choice for local residents.

McDonald's Corporation both operates and franchises restaurants, thus, its total revenue is composed of revenue collected from company-operated stores and franchised stores. As of 2018, approximately 93% of McDonald's restaurants were franchised and McDonald's long term goal is to reach 95%. One aspect of the McDonald's franchise model is to keep a small percentage of company-owned restaurants. These restaurants allow McDonald's to continually

test innovations from franchisees, improve the operations of all McDonald's restaurants globally and provide a venue for restaurant operations training experience. A McDonald's franchise can be operated under one of the following structures - conventional franchise or development license and affiliate.

Under a conventional franchise arrangement, McDonald's Corporation owns the land and building, or secures a long-term lease for the restaurant's location and the franchisee pays for equipment, seating, and décor. In this model, franchisee's are responsible for reinvesting capital in their business over time and can generally expect co-investment into the restaurant by McDonald's to help improve aspects of the restaurant to cater to consumer preferences, improve business performance and generally increase the strength of the McDonald's brand. A typical franchise term is 20 years and conventional franchisees contribute to McDonald's revenue primarily through the payment of royalties and rent, based upon a percentage of sales. McDonald's Corporation believes this structure enables them to generate significant cash flow and achieve high restaurant performance levels.

Under a development license or affiliate model, licensees are responsible for providing the capital instead of McDonald's, operating and managing the business, and opening new restaurants in the region. From each franchisee, McDonald's receives royalties based upon a percentage of sales, and fees upon the opening of each new restaurant and grant of a new term for a restaurant. The affiliate structure is largely the same, they are used in a limited number of foreign markets where McDonald's Corporation also has an equity investment.

As of December 31, 2018, McDonald's Corporation owned a total of 37,855 systemwide restaurants of which 21,685 were conventional franchised and 7,225 developmental licensed.

Geographically, the U.S. is McDonald's Corporation's largest segment and leading market. Internationally, the leading markets include Australia, Canada, France, Germany and the U.K. Additionally, countries McDonald's believes have high restaurants expansion and franchising potential include China, Italy, Korea, Poland, Russia, Spain and Switzerland. Overall, McDonald's global brand is well known and marketing and promotional efforts focus on value, food taste, nutrition, and customer experience in order to differentiate themselves from competitors. No other fast food chain has as many restaurants under their name as McDonald's does. Below is a map of all the countries or states McDonald's is present in.

1. Profitability

Introduction

Profitability is one of the most important measures of an organization's success. It is one of the primary goals of a company and without profitability, the business will not survive in the long run. On a general level, profit is calculated as total revenue less total expenses. The relevant variables to measure profitability are reflected in the income statement of a company's 10K. It is important to note that profitability is a relative, rather than an absolute, method of measuring a company's efficiency. Simply looking at the numbers without consideration for factors such as inflation, industry growth or company size will not suffice. In the profitability analysis, we will use trends and ratios to analyze the company's efficiency more effectively. Unless otherwise noted, all data is sourced from McDonald's Corporation's 10K which is accessible on the McDonald's website for free. From here on out, McDonald's Corporation can be referred to as 'McDonald's' or Company as well. This section of the report will focus on determining McDonald's profitability by examining the following three aspects:

1. Trend Analysis - displays the movement of McDonald's total revenue and net income over time
2. Common Size Analysis - a method of evaluating profitability by expressing each line item in the income statement as a percentage of a base amount - in this case total revenue - in the same accounting period
3. Ratio Analysis - displays and analyzes calculated ratios, explains their significance and compares them to a chosen competitor in the industry

To provide more insight on McDonald's profitability, this report will compare McDonald's to one of its top five competitors, Yum! Brands. Yum! Brands is a corporation which operates KFC (Kentucky Fried Chicken), Taco Bell and Pizza Hut. Their main product, respectively, is fried chicken, tacos/mexican fast food like quesadillas, and pizza. Both McDonald's and Yum! Brands operate in the fast-food industry, have a franchise model, and distribute similar fast-food products which are close substitutes of each other. Therefore, we decided to use Yum! Brands as our benchmark to which to compare McDonald's Corporation in our analysis of McDonald's profitability. Below is the income statement of McDonald's Corporation from years from 2014 through 2018:

McDonald's Corporation - Data for Fiscal Years 2014 through 2018

All values in millions of USD$

Year	2014	2015	2016	2017	2018
Revenue					
Sales by Company-operated restaurants	18,169	16,488	15,295	12,719	10,013
Revenues from franchised restaurants	9,272	8,925	9,327	10,101	11,012
Total Revenue	27,441	25,413	24,622	22,820	21,025
Operating Expenses					
Cost of Goods Sold	16,986	15,624	14,417	12,200	10,239
Selling, General & Administrative Expenses	2,488	2,434	2,384	2,231	2,200
Other Expenses (Income)	19	209	76	(1,163)	(237)
Total Operating Costs	19,492	18,267	16,877	13,268	12,203

Operating Income	7949	7145	7,744	9,553	8,823
Non Operating Expenses	577	590	878	979	1,006
Net Income	4758	4529	4,686	5,192	5,924

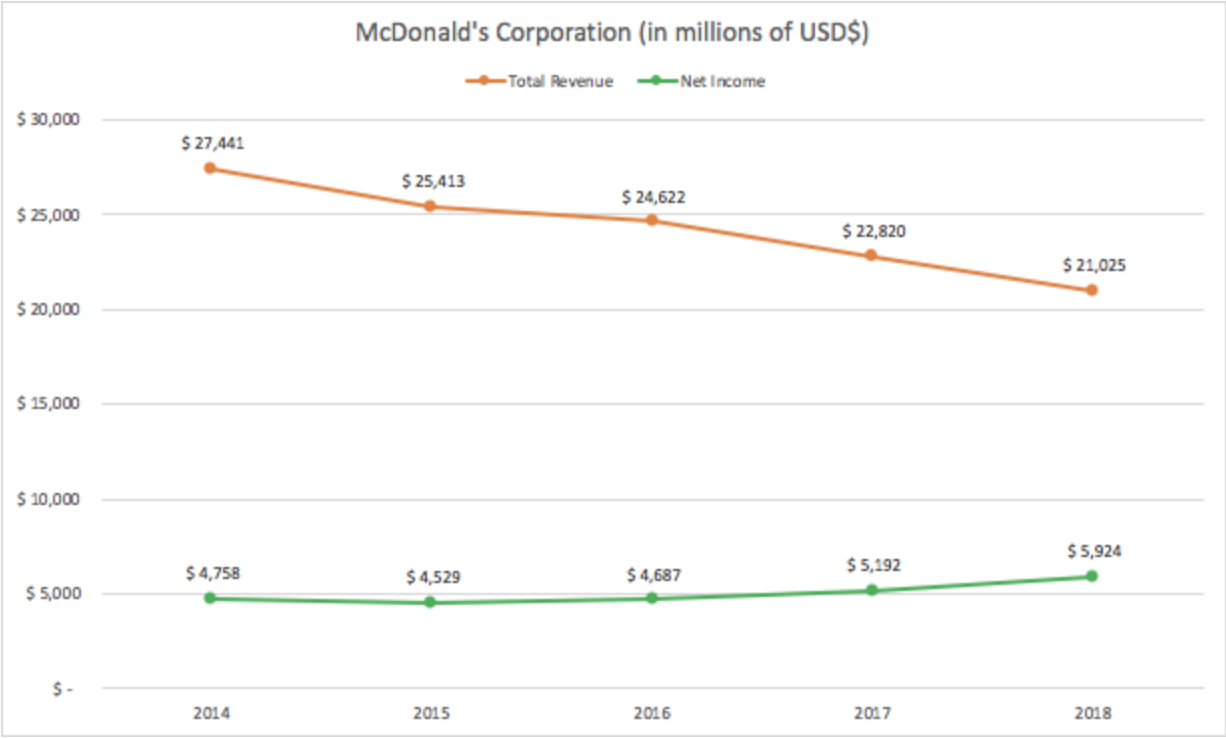
To calculate COGS, the following expenses on McDonald's income statement were summed: food and paper, payroll and employee benefits, occupancy, and franchised restaurants occupancy expenses. We believe each item is necessary to finally produce and sell the product. For example, without occupancy, which is paying for a place to sell the product, the product cannot be sold. Thus, the occupancy expense contributes to the overall cost of good sold. Similarly, total non-operating expenses is calculated by combining the values of all non-operating expenses in the income statement. For McDonald's this included interest expense and nonoperating income.

It is interesting to take note of the negative values for the 'other expenses' line item under operating expenses. The negative values are caused by the increase in investment income as a result of an increase in investments by McDonald's over the last five years. For reference, in 2018, McDonald's Corporation made USD$ 1,203 million of investments - a 10.77% increase from the year before.

Trend Analysis

Trend analysis allows us to examine the movement of a variable, such as total revenue or net income, over time. This analysis allows us to have a broader picture of the Company's profits and losses and predict future movements of a variable. For this section, we have chosen to examine the total revenue and net income of McDonald's.

Total Revenue and Net Income



McDonald's Corporation - Data for Fiscal Years 2014 through 2018

All values in Millions of USD$

Years	2014	2015	2016	2017	2018
Total Revenue	$ 27,441	$ 25,413	$ 24,622	$ 22,820	$ 21,025
Net Income	$ 4,758	$ 4,529	$ 4,687	$ 5,192	$ 5,924

On the chart above, the line representing total revenue clearly displays a downward trend. From just above USD$27 billion in 2014, the value plunges straight down to approximately USD$21 billion in 2018 - a 23.38% decrease. Furthermore, according to McDonald's 10K, due to the impact of the Company's strategic franchising initiative, consolidated revenues decreased by 8% (in constant currencies) between 2017 and 2018. There are two main reasons for the decrease in total revenue. Firstly, as reported in their 10K, the Company's aim is to become a 95% franchised entity in the long term. As a result of their increase of franchisees and McDonald's franchise model, only a specific percentage of gross sales of each franchised restaurant is accumulated by McDonald's Corporation while in a company-operated restaurant, McDonald's would keep the entire revenue. Thus, an increase in franchises and decrease in company-owned stores will result in less revenue accumulated by McDonald's. Secondly, the total revenue decrease can also be attributed to changes in consumer tastes and preferences. Globally, consumers are becoming more health conscious which has led them to seek out healthier alternatives. Recognizing this change in consumer preferences, McDonald's has implemented a few initiatives such as changing the red-yellow

colour of their logo to green and yellow in Europe. The restaurant believes the green will increase their association to healthy foods. Despite these initiatives, it will take time to change consumer perception. For example, changing a consumer's perception so they go to McDonald's for a salad or fruit instead of a burger.

More specific to the U.S., according to NBC analysts, the American taste palette has become much more sophisticated throughout the last couple of years and consumers have moved away from 'factory-type' hamburgers to alternative dining options. Thus, even if a consumer wants a burger, chances are they will go to a comparatively 'finer' restaurant. McDonald's has been slow to react to the shift in its customers dining habits — in part, because it is spread out over thousands of franchisees globally.

While total revenue has been decreasing, the graph above shows a clear, slight upward trend for net income. The net income increases from just under $5 billion to approximately $6 billion between 2014 and 2018 - a 24.51% increase. One reason for this upward trend in the Company's net income is related to the increase in franchised restaurants, and therefore, total decrease in the amount of operating expenses McDonald's is responsible to pay as more franchises open and more company-operated stores convert to franchises. The second reason for the upward trend in net income is that McDonald's experienced a systemwide sales increase of 6% for the year 2018 (in constant currencies) as reported by their 10K. This shows that when looking at the entire syste of company-operated and franchised restaurants, sales are increasing. However, the company itself experienced an 8% decrease in total revenue for the year ended December 31, 2018. This means the stores contributing to the increased sales are primarily franchisees and comparably, company owned stores are less efficient and profitable. This makes sense as a franchisor contributes a lot of money to their restaurant and so will put in

a lot of effort to make the restaurant a success, beginning with elevating consumer experience by getting to know their customers personally.

Ultimately, since net income is increasing and total revenue is decreasing, net profit margin is increasing which is a good sign. This increase will be further discussed in the ratio analysis section (after common-size analysis)

Common-Size Analysis

In the common-size analysis, line items in the income statement are expressed as a percentage of that year's total revenue, instead of an absolute dollar amount. By converting each variable into a percentage, we isolate the effect of size on our analysis and can compare the company, in this case McDonald's, to itself and its competitors. This is similar to how current ratio, which is a proportion, can be a more useful indicator for a company than working capital, which is an absolute amount. Below is the McDonald's income statement in a percentage format:

McDonald's Corporation - Data for Fiscal Years 2014 through 2018

All values in Millions of USD$

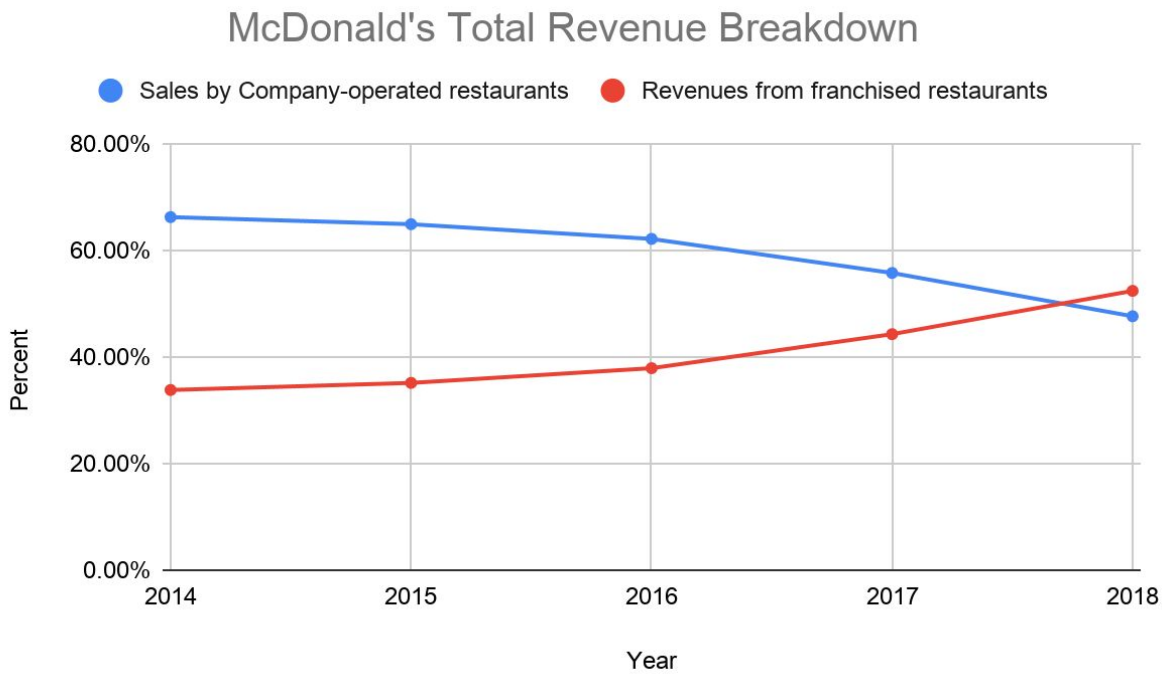
Year	2014	2015	2016	2017	2018
Revenue					
Sales by Company-operated restaurants	66.21%	64.88%	62.12%	55.74%	47.62%
Revenues from franchised restaurants	33.79%	35.12%	37.88%	44.26%	52.38%
Total Revenue	100.00%	100.00%	100.00%	100.00%	100.00%
Operating Expenses					
Cost of Goods Sold	61.90%	61.48%	58.55%	53.46%	48.70%

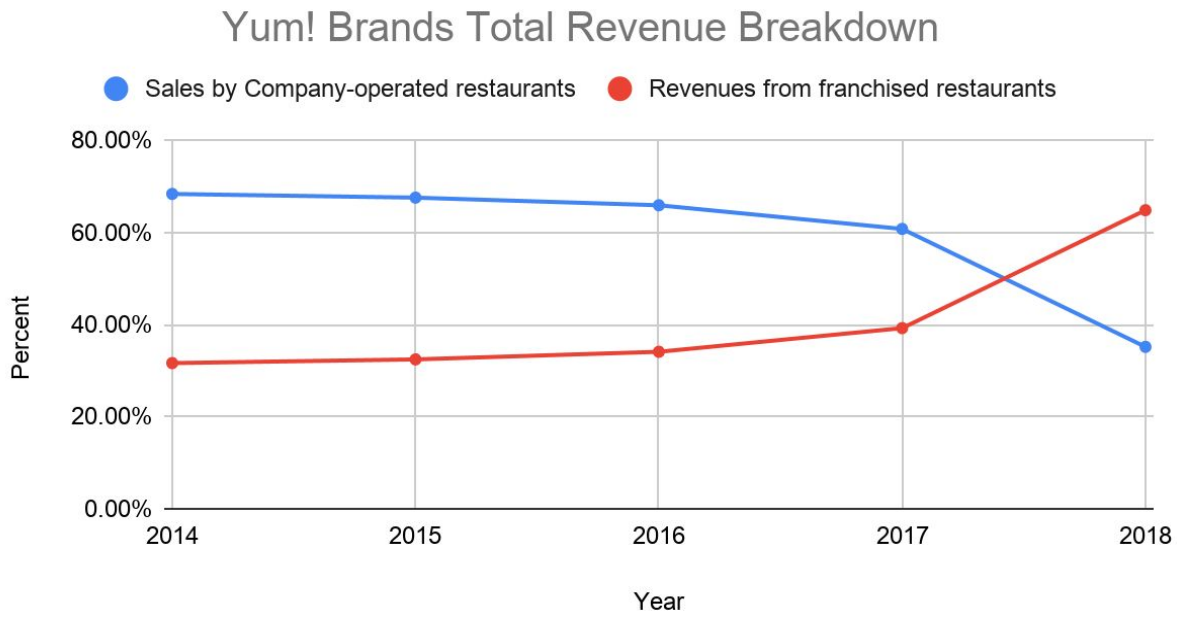
Selling, General & Administrative Expenses (SG&A)	9.07%	9.58%	9.68%	9.78%	10.46%
Other Expenses (Income)	0.07%	0.82%	0.31%	-5.10%	-1.13%
Total Operating Costs	71.03%	71.88%	68.54%	58.14%	58.04%
Operating Income	28.97%	28.12%	31.45%	41.86%	41.96%
Non Operating Expenses	2.10%	2.32%	3.57%	4.29%	4.78%
Net Income	17.34%	17.82%	19.03%	22.75%	28.18%

Some of these line items, such as COGS and operating costs, will be analyzed in the ratio analysis section. For this reason, in this section I will examine the total revenue breakdown and SG&A expenses of McDonald's in depth and compare it to Yum! Brands.

First, we will begin by further examining the line items under revenue, specifically, revenue from company-operated restaurants and revenues from franchised restaurants and compare it to our selected benchmark, Yum! Brands.

Total Revenue Breakdow





McDonald's Total Revenue Breakdown Table:

Years	2014	2015	2016	2017	2018
Sales by Company-operated restaurants	66.21%	64.88%	62.12%	55.74%	47.62%
Revenues from franchised restaurants	33.79%	35.12%	37.88%	44.26%	52.38%

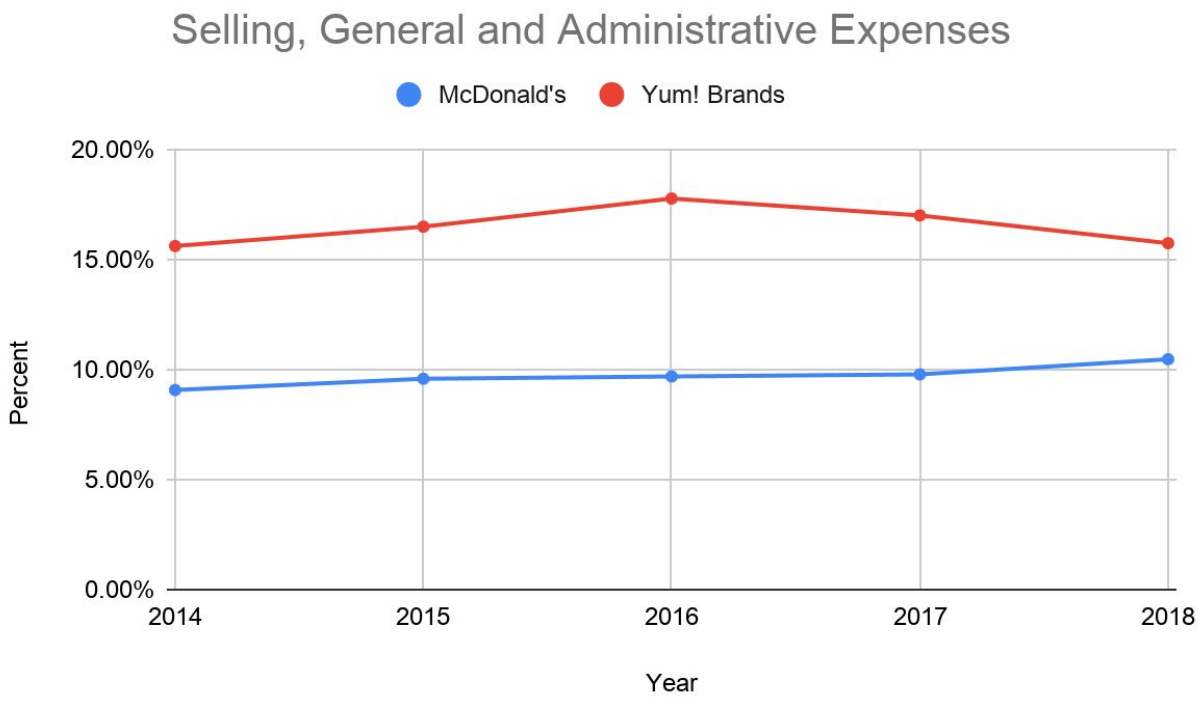
Yum! Brands Total Revenue Breakdown Table:

	2014	2015	2016	2017	2018
Sales by Company-operated restaurants	68.36%	67.56%	65.91%	60.77%	35.16%
Revenues from franchised restaurants	31.64%	32.44%	34.09%	39.23%	64.84%

It can be seen from the graph above, that for McDonald's, the revenue from franchised restaurants is increasing and on an upward trend, while the revenue from company operated restaurants is decreasing. Both the increase and decrease are by 18.59% over the last five years. When compared to its competitor, Yum! Brands, similar trends are shown, Yum! Brands is also increasing in revenue from franchised restaurants and decreasing in revenue from company operated restaurants. As of 2018, Yum! Brands has a higher percentage of total revenue from franchises than McDonald's - approximately 12% more.

Selling, General and Administrative Expenses

SG&A Expenses are the sum of all selling, general and administrative expenses such as salaries, travel and other support costs of executives and employees, advertising and marketing, and other expenses incurred in the process of generating sales. These are costs incurred to support the overall McDonald's business and operations. In order to evaluate McDonald's cost control, SG&A will be analyzed below.



Years	2014	2015	2016	2017	2018
McDonald's	9.07%	9.58%	9.68%	9.78%	10.46%
Yum! Brands	15.61%	16.48%	17.76%	17.00%	15.73%

From the graph it can be seen that McDonald's has a relatively stable SG&A expense. A very slight upward trend can be observed - 1.39% increase over five years. In comparison, Yum! Brands' SG&A was on a decreasing trend from 2016 to 2018, however; overall for Yum! Brands from 2014 to 2018, SG&A increases by 0.12%. The graph displays that McDonald's spends a lower percentage of their total revenue on SG&A than Yum! Brands.

If absolute values of SG&A are looked at, SG&A expenses actually decrease for the last five years. In the year of 2018 and 2017, SG&A expenses decreased by 1.39% (2% in constant currencies) and decreased by 6% (7% in constant currencies) respectively, when compared to the previous year. The decreases in 2018 and 2017 were primarily due to lower employee-related costs, partly offset by investment in restaurant technology. As reported by McDonald's 10K, it is also important to note that the reduced decrease in SG&A from 2017 (6%) to 2018 (1%) was due to costs associated with the 2018 Worldwide Owner/Operator Convention and sponsorship of the 2018 Winter Olympics.

Generally, McDonald's controls its expenditure of SG&A well and holds it relatively stable, which is a good sign. For their 2019 outlook, the Company expects SG&A expenses to decrease by about 4% in constant currencies. For reference, below are the absolute values for McDonald's SG&A expenses:

McDonald's Corporation - Data for Fiscal Years 2014 through 2018

All values in Millions of USD$

	2014	2015	2016	2017	2018
McDonald's	2488	2434	2384	2231	2200
Yum! Brands	1028	1058	1129	999	895

Additionally SG&A expense as a percent of systemwide sales was 2.8% in 2016, 2.5% in 2017 and 2.3% in 2018. There is a decreasing trend which is significant as it supports what the graph shows, that SG&A is generally stable despite the increasing systemwide sales. Thus, McDonald's is not increasing their SG&A to support the business as it grows but is controlling their costs.

Ratio Analysis

The following ratios were used to analyze the profitability of McDonald's Corporation:

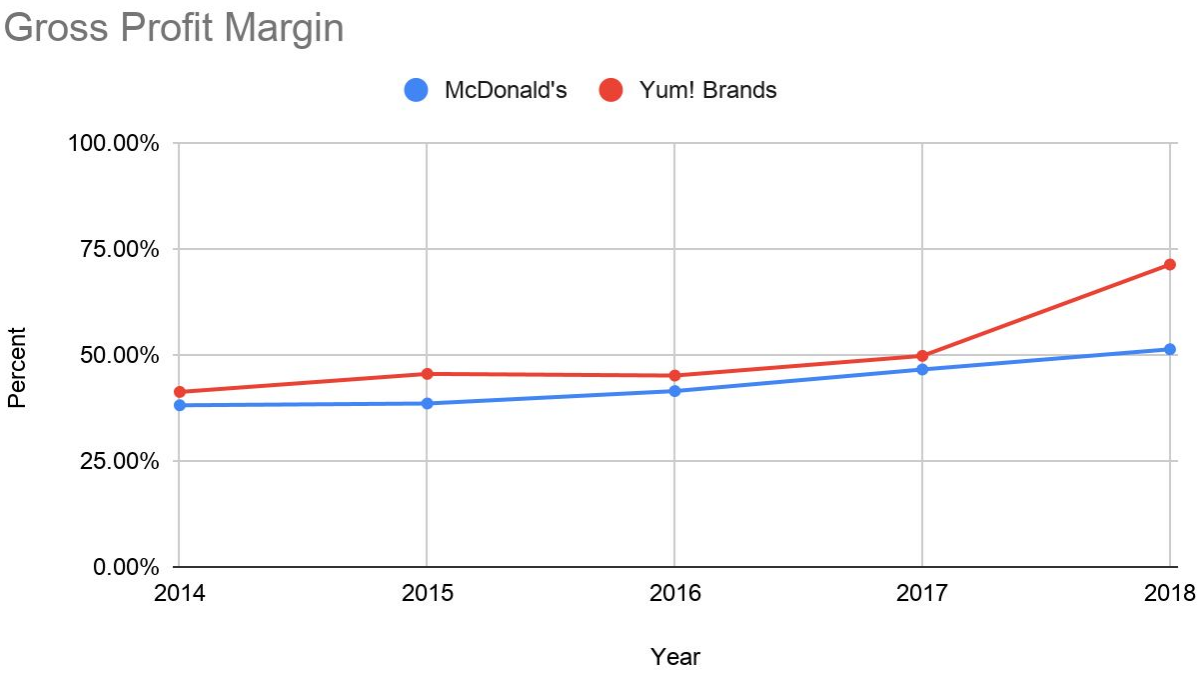
- Gross Profit Margin
- Operating Margin
- Net Profit Margin
- Return on Assets (ROA)
- Earning Per Share (EPS)

Gross Profit Margin

Gross profit margin is a percentage which represents the amount of gross profit a company retains per dollar of revenue. It is equal to a company's total sales less cost of goods sold, all divided by total revenue. For both McDonald's and Yum! Brands, I calculated COGS by combining the following line items in their income statement: food and paper costs, payroll and employee costs, and occupancy costs. Gross Profit Margin is an important indicator of a company's profitability as the higher the percentage, the more the company earns per dollar of sales of their product. A high margin implies a low cost of revenue per dollar.

$$Gross\ Profit\ Margin = \frac{Gross\ Profit}{Total\ Revenue}$$

	2014	2015	2016	2017	2018
McDonald's	38.10%	38.52%	41.45%	46.54%	51.30%
Yum! Brands	41.25%	45.50%	45.11%	49.74%	71.27%



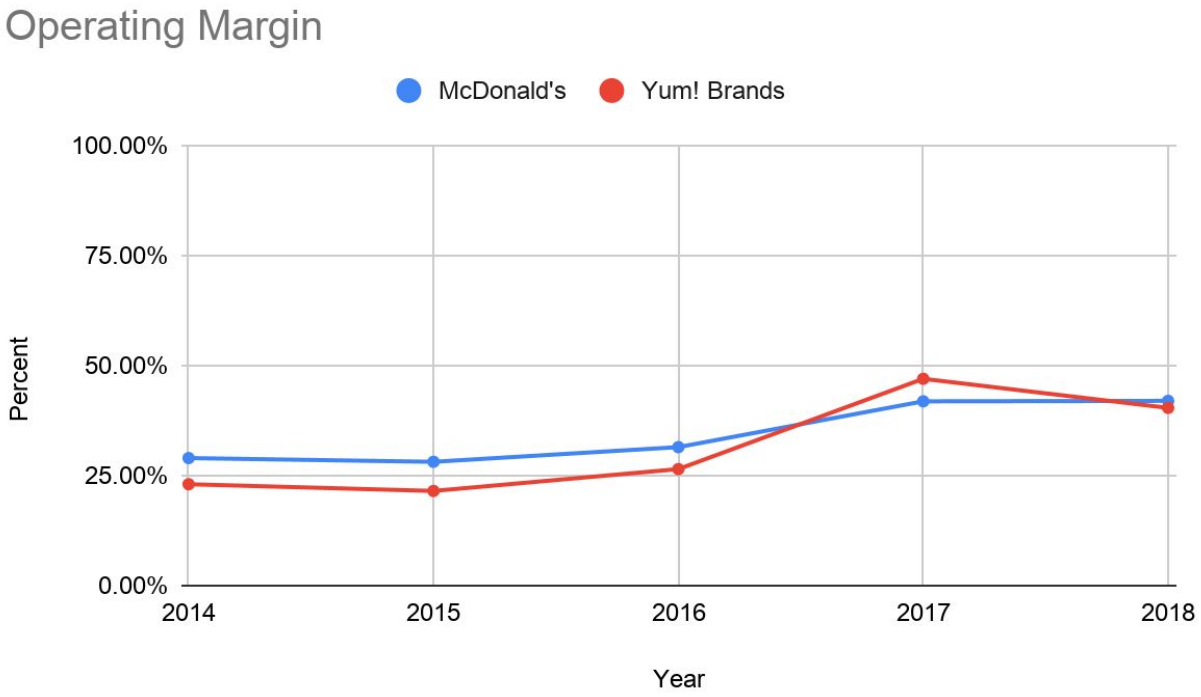
From the graph above, we can see McDonald's gross profit margin has almost linearly increased over the last five years - a total of 13.2% since 2014. However, it is below the gross profit margin of its competitor, Yum! Brands by a total of 19.97%. Yum! Brands also has an increasing Gross Profit Margin. Over the last five years they have increased by 30.02%, which is approximately double the increase of McDonald's. This is largely because Yum! Brands COGS approximately halved in 2018 (due to a change in reporting style), causing its gross profit to double in comparison to 2017. It is important to note that until 2018, McDonald's and Yum! Brands had very similar gross profit margins. Ultimately, McDonald's margin is more stable than Yum! Brands.

Operating Margin

The operating margin is another important profitability ratio because the more efficient the company in terms of operations, the more profitable it is. Like the gross profit margin, this ratio can be thought of as expressing how much profit a company makes per dollar of sales, after subtracting total core operating expenses, including COGS. The method in which I calculated operating income is to subtract operating expenses from total revenue. Therefore, a higher operating ratio is better, as it demonstrates a higher level of efficiency with regards to operational costs. This margin is a good indicator of profitability as the operating income represents the core operating activities of the company related to selling the product. The operation costs are generally recurring and for this reason, the operating income calculated is generally a continuous stream of income. In contrast, in the net profit margin ration we will analyze next, one time expenses and revenue will be included and thus the ratio is not as good of an indicator of the company's profitability year to year.

$$Operating\ Margin = \frac{Operating\ Income}{Total\ Revenue}$$

Years	2014	2015	2016	2017	2018
McDonald's	28.97%	28.12%	31.46%	41.86%	41.96%
Yum! Brands	23.03%	21.50%	26.46%	46.97%	40.37%



From the graph, it is apparent that both McDonald's and Yum! Brands have very similar operating margins and trends. McDonald's displays a clear, upward trend. McDonald's has experienced a total increase of 12.99%. In comparison, Yum! Brand's operating margin fluctuates slightly more and ultimately, Yum!Brands margin is slightly lower than McDonald's in 2018. Thus, compared to their competitor, McDonald's is slightly more efficient. This margin reflects their controlled cost management as demonstrated by the stability in SG&A expenses previously analyzed.

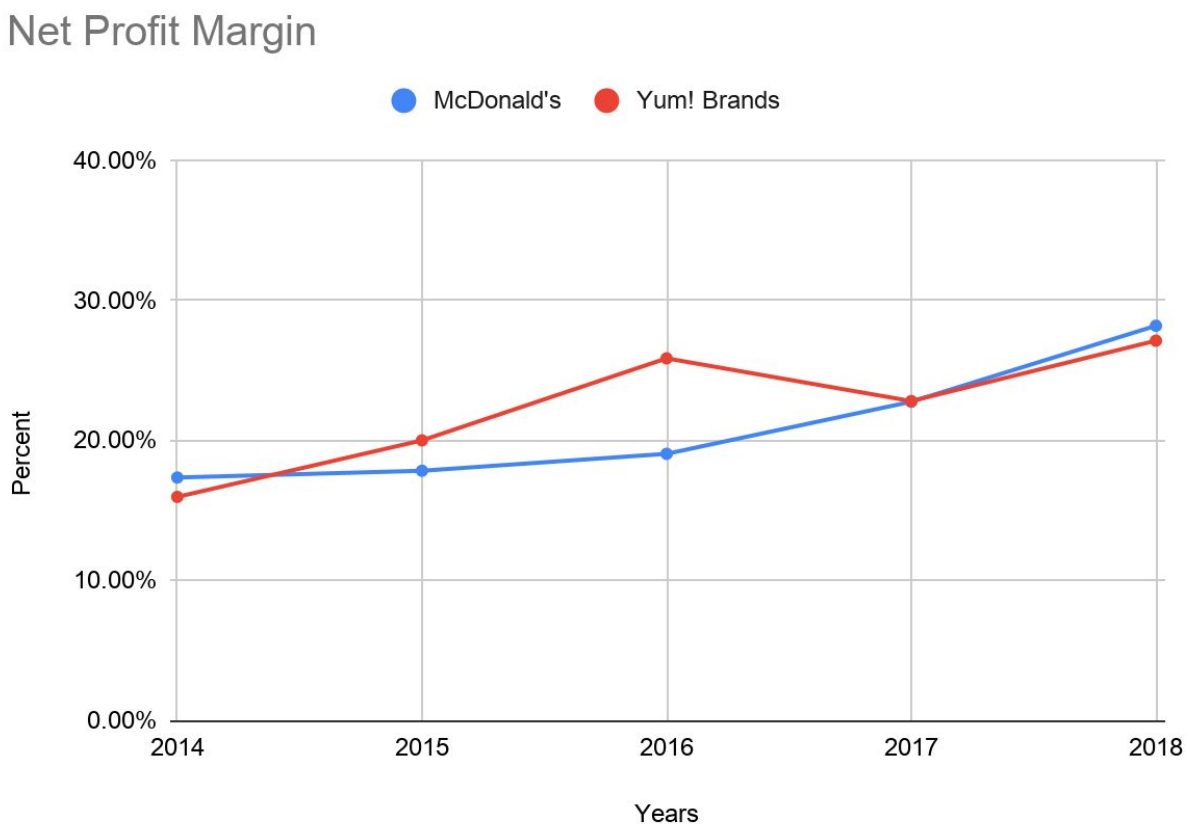
Net Profit Margin

The net profit margin can be calculated by dividing net profit (net income after taxes) by total revenue. It is a measure of the amount of profit generated by the company per dollar made

in revenue. The larger the net profit margin, the higher the profitability and better the cost control. Overall, McDonald's has a higher margin than Yum! Brands.

$$Net\ Profit\ Margin = \frac{Net\ Profit}{Total\ Revenue}$$

Years	2014	2015	2016	2017	2018
McDonald's	17.34%	17.82%	19.03%	22.75%	28.18%
Yum! Brands	15.96%	19.99%	25.85%	22.80%	27.11%



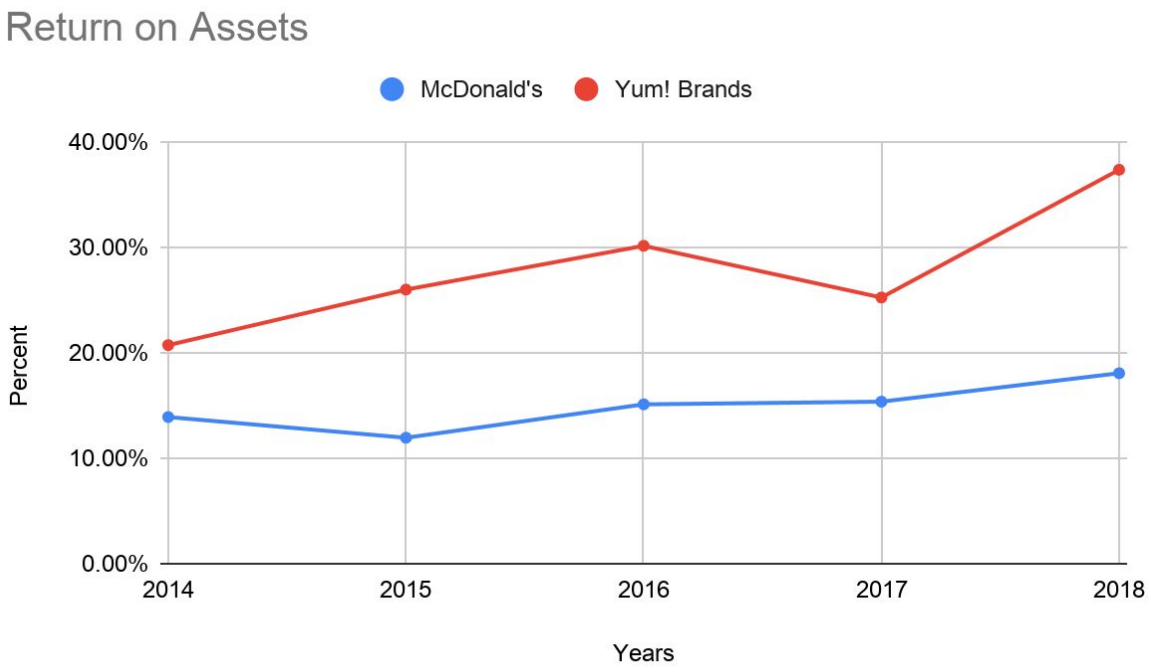
The graph shows that the net profit margin for both McDonald's and Yum! Brands are on an upward trend. McDonald's has had an almost linear increase over the last five years which displays control. The Company increased by 10.84% in the last 5 years. In comparison, Yum! Brands experienced fluctuation over the last five years - a spike in 2016 followed by a decrease in 2017 and another increase in 2018. Like the last ratio, McDonald's is slightly higher than Yum! Brands in 2018 which shows that in the context of this ratio, McDonald's is comparatively more profitable than Yum! Brands. It is interesting to note that McDonald's net profit margin is lower than its operating margin. This means the ratio was pulled down by mainly interest expense and also at a lower scale, non operating income expense.

Return on Assets

The return on assets ratio can be calculated by dividing net income by the value of total assets at the end of the respective fiscal year. This profitability measure indicates how profitable a firm is in relation to the total assets it owns. Thus, ROA measures a company's effectiveness in using its assets to generate profits. The higher the ROA ratio, the higher the company's potential in generating profits.

$$Return\ on\ Assets = \frac{Net\ Income}{Total\ Assets\ (year-end)}$$

Years	2014	2015	2016	2017	2018
McDonald's	13.90%	11.94%	15.10%	15.36%	18.05%
Yum! Brands	20.72%	25.98%	30.13%	25.23%	37.34%



As shown in the graph above, both McDonald's and Yum! Brands have an upward trend. McDonald's has a comparatively more stable ROE while Yum! Brands fluctuates over the five year period. McDonald's experiences an overall 4.15% increase while Yum! Brands experiences an overall 6.51% increase. Throughout the last five years, Yum! Brands has had a higher ROE than McDonald's which signals, compared to its competitor, McDonald's is not as good as using its assets to generate profits. The upward trajectory shows McDonald's potential for catching up.

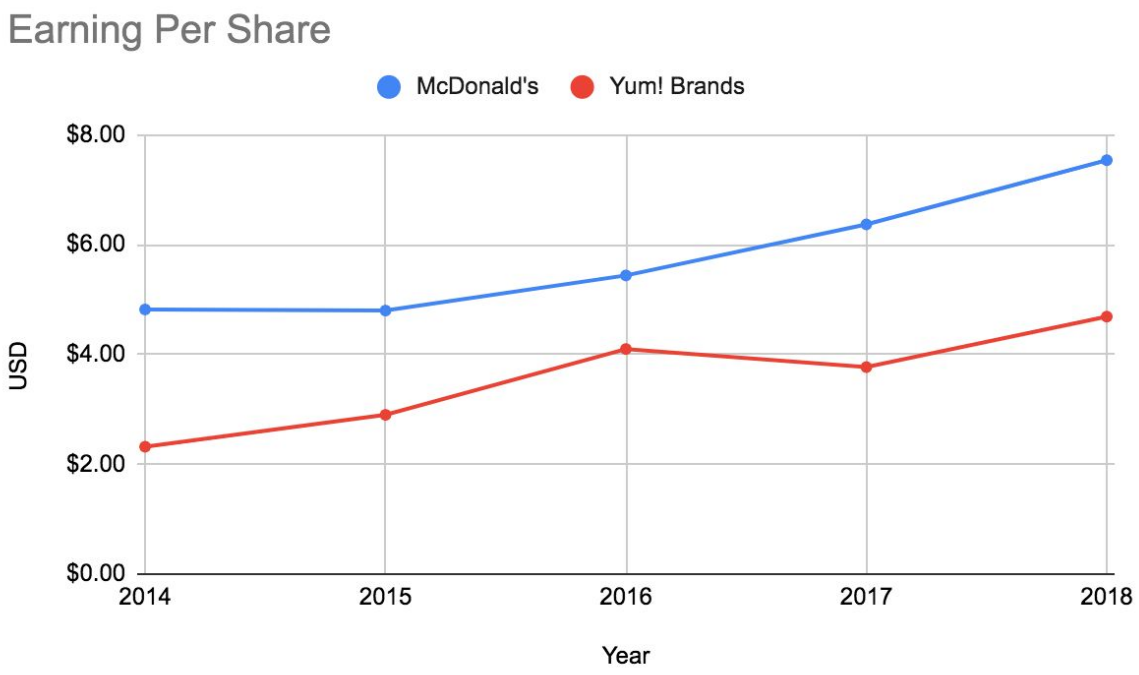
A reason for McDonald's comparatively low ROA is that generally, people like to sit and eat at McDonald's whereas for restaurants operated by Yum! Brands such as Pizza Hut, consumers largely ask for delivery or pick it up and eat elsewhere. Thus Yum! Brands does not need as much restaurant space and asset as McDonald's which results in a higher ROA margin.

Earning Per Share

The earnings per share of a company is defined as the portion of net income allocated to each outstanding share of common stock. It is another indicator of company profitability and can be calculated by dividing the net income by the weighted average of outstanding shares. EPS is believed to be correlated to stock price, however; it is important to note that sometimes the manipulation of earnings can interfere with this relationship. Generally, the higher the EPS, the higher the value of the shares and so the higher the stock price per share.

$$Earning\ Per\ Share = \frac{Net\ Income}{Weighted\ average\ of\ outstanding\ shares}$$

Years	2014	2015	2016	2017	2018
McDonald's	$4.82	$4.80	$5.44	$6.37	$7.54
Yum! Brands	$2.32	$2.90	$4.10	$3.77	$4.69



The graph above shows that EPS is on an upward trend for both companies. McDonald's has experienced an almost linear increase and over the last five years, EPS has increased by $2.72. McDonald's EPS has been consistently higher - by at least $1 - in comparison to Yum! Brands from 2014 through 2018. Yum! Brands's EPS fluctuated slightly in 2016 and 2017 and overall they have increased by $2.37. Both companies experienced a similar increase over the last five years, however comparatively, McDonald's shares are worth more than Yum! Brands according to this EPS.

Conclusion

The data from the Profitability Analysis section suggests in comparison to Yum! Brands, McDonald's is a better firm to invest in. Although their total revenue is decreasing, system wide sales have been increasing year to year. This is reflected in the increasing trend of net income over the last five years resulting in an approximately 25% increase. Furthermore, McDonald's has relatively stable ratios than Yum! Brands and their EPS has been on a steadily increasing trend since 2014. Their EPS is almost double Yum! Brands which signals that they are ahead of their competitor. In the ROA and Gross Profit Margin, Yum! Brands had better ratios however, in each the company fluctuated while McDonald's steadily increased at an albeit slower pace.McDonald's has stability which for an investment is a good sign. Thus overall, from the profitability analysis it can be concluded that McDonald's Corporation is profitable and a firm worth investing in for the long-term. For the short term, since the Company grows slowly and they are spread out all over the world and so are not quick to adapt to consumer change in taste and preferences, large returns will not immediately be seen in an investment.

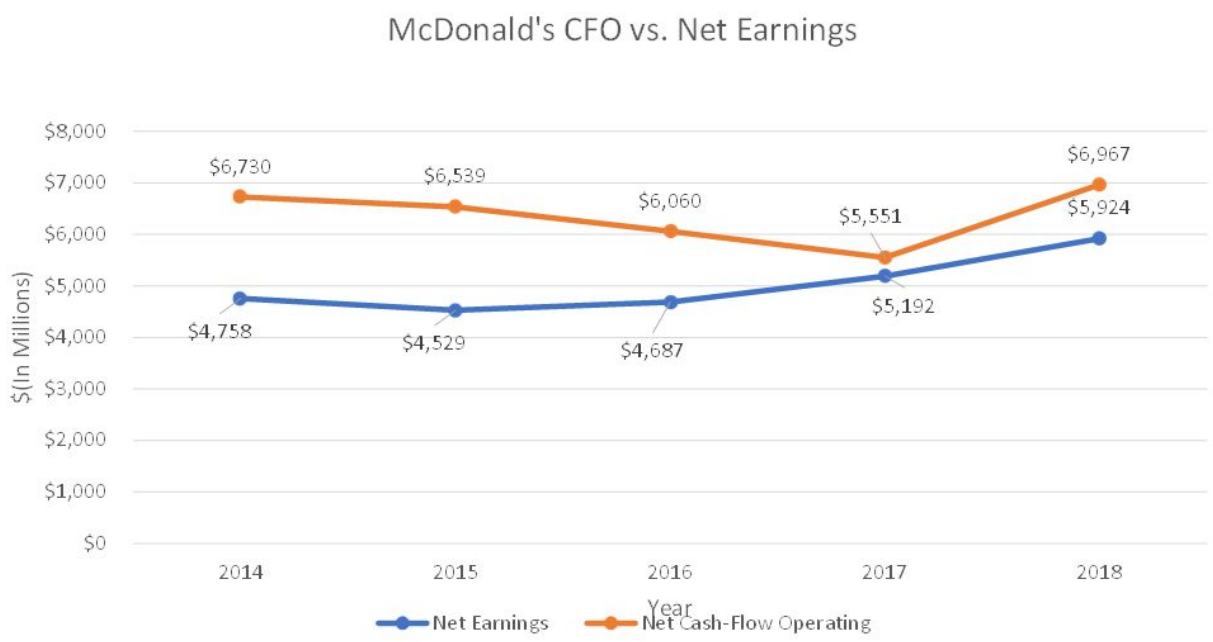
2. Liquidity

Introduction

Liquidity is a term that refers to the amount of assets that can be converted into cash, or liquid assets. Cash is the most liquid asset, meaning that the larger coverage of current assets to current liabilities will ensure that the company will have the capacity to obtain enough fluid capital to cover its costs and debts. Companies attempt to have enough liquidity in order to pay off short-term debts, as this determines their reliability to pay off debts to creditors. Liquidity also contributes to the daily operations of a company and allows for operating expenses as well as necessary expenses that may come up.

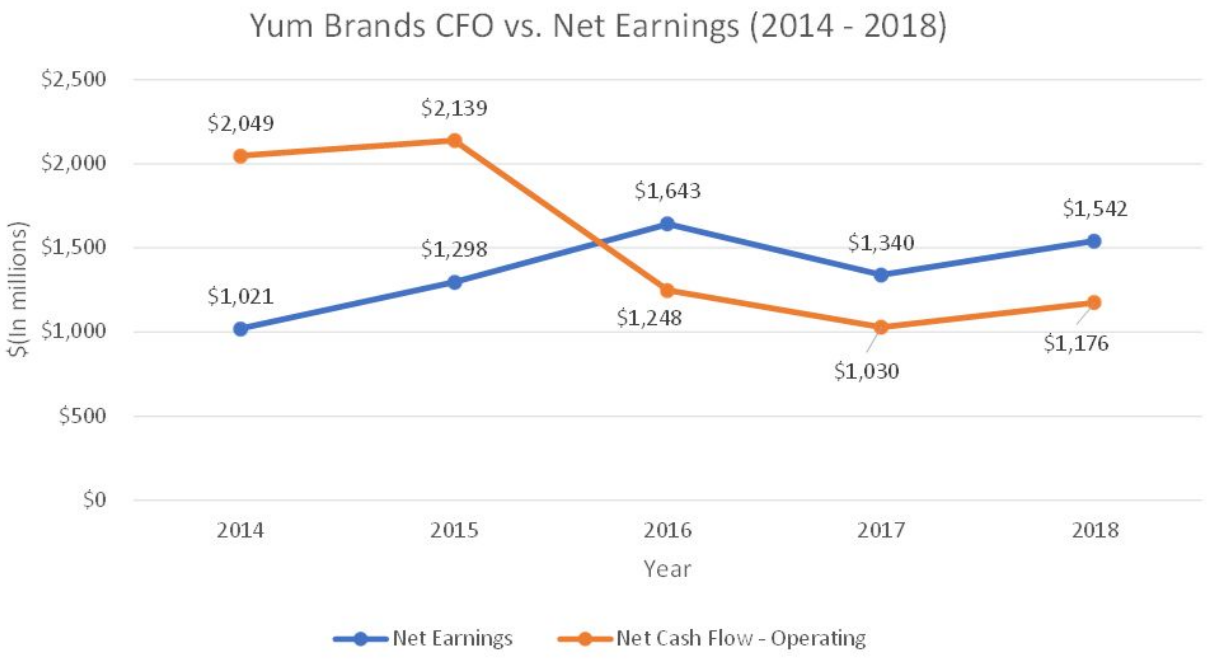
We will demonstrate McDonald's liquidity by using various accounting factors. We will begin by analyzing the common size on the liquidity of current assets and liabilities. In addition, we will look at trend analysis of cash flow, working capital, current ratio, quick ratio, and free cash flow. We will use these factors to compare the liquidity of both McDonald's and Yum! Brands and determine the impact these factors have on the company. Using these ratios will help us determine if the company is worth investing in and help us understand more about how McDonald's handles its cash in comparison to its cash assets. If a company is efficient in the way it handles its cash, then it will be a good indicator to the company that they are worth investing in.

Cash Trend Analysis



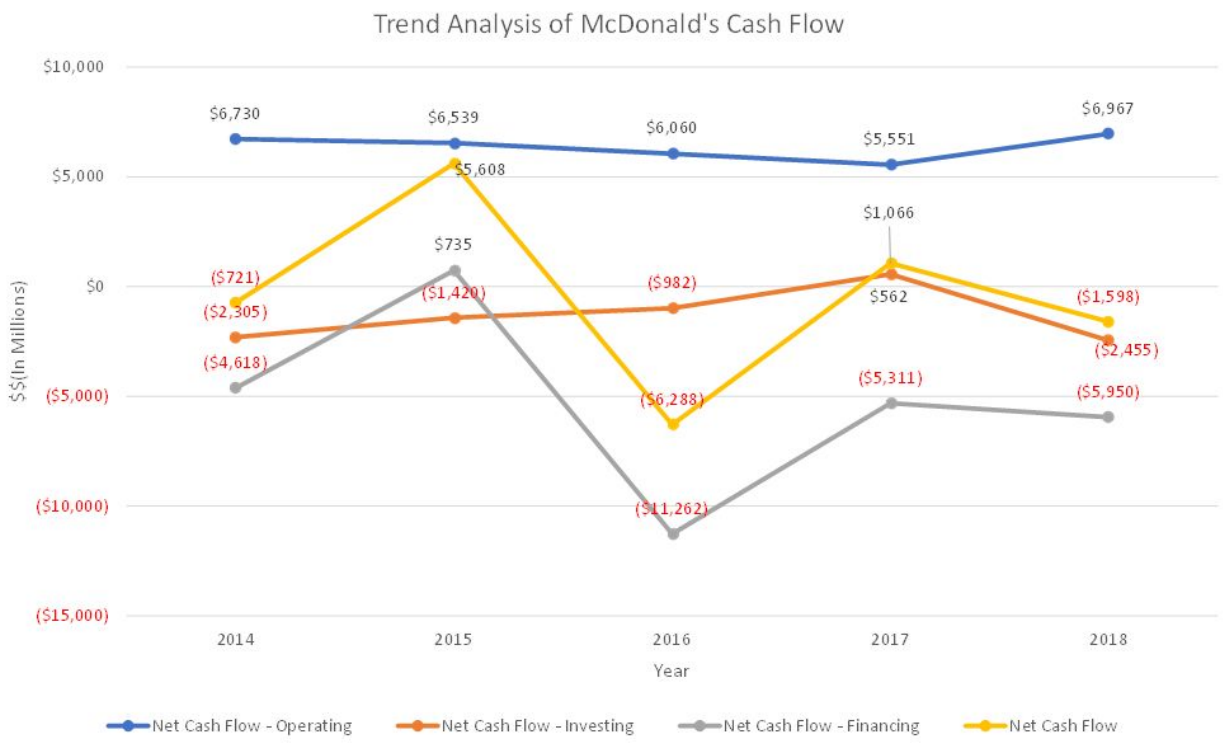
McDonald's is a restaurant franchise that primarily earns money through food sold through company owned restaurants and through the commissions from franchised restaurants. Since the company has two ways in which it generates revenue, it has been able to keep a steady cash flow in the past 5 years. Overall, McDonald's has seen an increase of 14.10% in its net earnings. Similarly, cash from operating expenses saw an increase of 25.51%, and is higher than net earnings, which suggests that the company is handling its cash successfully. There was a trend in decreasing cash flow from operating activities from 2014 to 2017, which may be attributed to a larger negative gain on sale of restaurant businesses. The consistency in the operating expenses shows that the company is able to manage its cash efficiently, leading to medium liquidity. Although net income is still increasing from 2014 to 2018, the increase in

accounts receivable is the reason the cash from operating activity has been decreasing since more sales are being done on credit, it limits the cash from operating activities.



In contrast, Yum! Brands has a very different trend of net earnings and cash from operating activities. Net cash flow from operating expenses decreased in 2016 and 2017, and increased in 2015 and 2018, showing that the company is attempting to handle their money. In 2014 and 2015, since the CFO did not mirror, it shows that they followed a trend independent of net earnings. From 2016 onwards however, net earnings and CFO have followed a similar trend, showing that CFO has become more dependent on net earnings. One reason the company dropped its cash flow was that in 2016 the company had a large expense for some it its discontinued operations, which decreased its liquidity. In addition, the company's net income has begun increasing since 2015, however there has also been increases in refranchising loss

as well as money spent on discontinuing operations, which cause operations cash flow to go down.



The trend Analysis uses the data from the past years in order to interpret how the company will perform in the future. This section will cover the trend analysis for both McDonald's and Yum! Brand's cash flow statements and make comparisons based on graphs and data provided.

For the analysis of McDonald's, the graph displayed above provides a breakdown of the cash flow statements for the past five years. Overall, net cash flow has fluctuated between positive and negative over the past five years and seems to follow the same trends as cash from financing activities, meaning the company does not have the most stable management of cash and does not always have high liquidity. This trend in the cash from investing activities and

the resulting net cash flow stems from the fluctuating cash used on treasury stock purchases in the last five years. Cash from investing and operating activities has remained relatively similar and has not fluctuate much, meaning the impact to net cash flow has been a result of the fluctuating cash from financing activities. This correlation may be due to the drastic changes from cash flow from financing activity.

Cash from Operating Activities

Net cash flow from operating expenses was steadily decreasing from 2014 to 2017, until it finally increased again in 2018. One reason for this trend is that this is the company's highest net income since 2013, which means that it has more cash available. In addition, the company has lost less money on the sale of restaurant businesses. In addition, another reason for the increase was that the loss on the sale of restaurant businesses was considerably smaller than the previous year and has resulted in more cash for the company. It is also worth noting that in the year 2018, McDonald's also had lower income taxes and lower accrued liabilities than the previous year, which also increased cash flow from operating activities. In short, the company has relatively moderate liquidity since it is able to manage and keep consistent cash flow from operating expenses

Cash From Investing Activities

While negative, the cash flow from investing activities steadily increased from 2014 to a positive value in 2017, a 124.38% increase from 2014. In 2018, however, it decreased again by 536.83% and became negative once again, returning to the same levels as it had in 2014. One

reason for the decrease in 2018 is the company incurred a higher capital expenditure than it had in 2017, and thus decreased it's cash flow. In addition, in 2017, the company received $1.597 Billion in proceeds from the sale of businesses in China and Hong Kong that also increased the cash flow from investing activities into a positive value. Finally, the company has also had a decrease in the sales of property since 2016, which did not aid in increasing the net cash flow from investing activities. This fact the investing is negative, except 2017, shows that the company has continued to invest in long-term assets and development, which is healthy for the company if it wants to continue growing. While this may make a company less liquid, it is better for the company in the long-run.

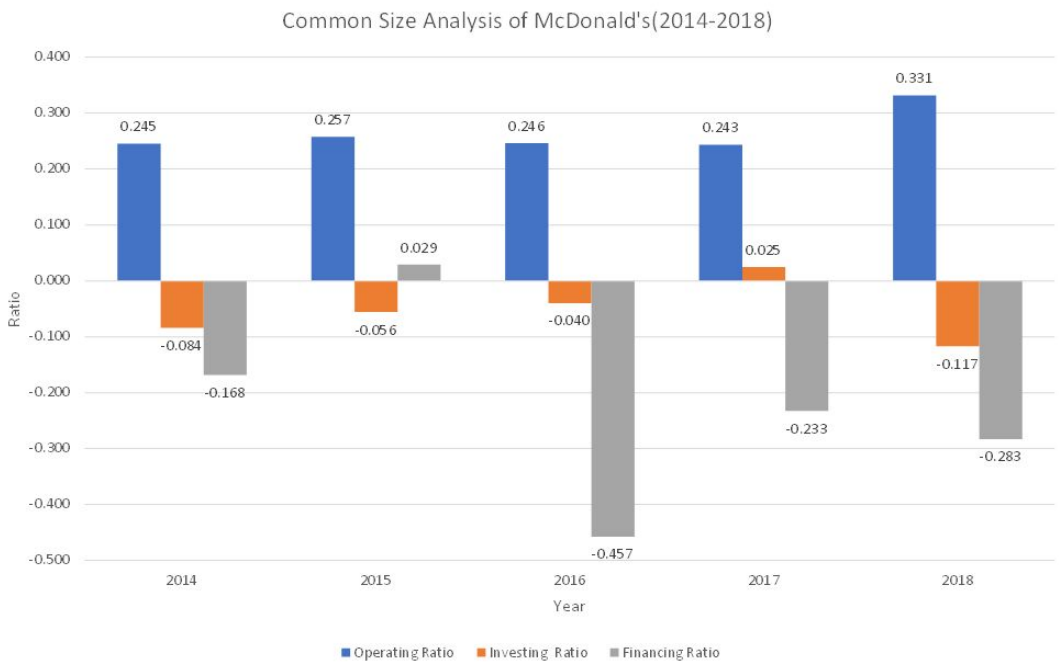
Cash From Financing Activities

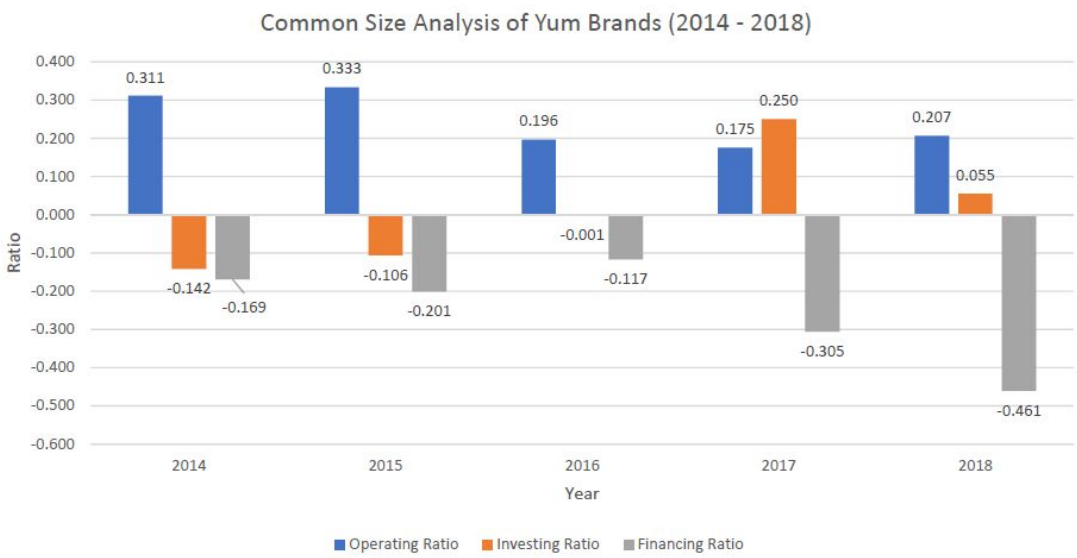
CFO and cash from investing have not fluctuated as much, thus do not have as much of an impact on net cash flow, however, cash from financing activities directly impact the resulting net cash flow. This is mainly due to the money used on treasury stock under cash flow from financing activities. In the year 2016, over $11 billion was used for treasury stock purchases resulted in 1632% decrease in the cash by financing activities. This led to a 212% decrease in the net cash flow in the same year. This is why the net cash flow fluctuates so much, and why it is similar to the trend of net cash flow from financing activities. The company Another reason for the fluctuations in the cash flow is the fluctuations in the amount of cash used for net short-term borrowings as well as for long-term financial issuances. These numbers change throughout the five years and their values are never constant. There does appear to be some correlation between the amount of cash from issuances as in the years where the values is higher, the

company buys back more stock. Another to observe is that the company uses a lot of its cash in rebuying back its stock, which happens when the company thinks it is undervalued. This drives up the price of the company with less shares available. This use of cash is also healthy for the company as it shows its strong financial position by being able to buy back stock.

In contrast to the net cash flow of McDonald's, Yum! Brands has fluctuating trends across its different cash flows. There as a decrease in the cash flow from operating activities that has flattened out and become relatively steady since 2016. In 2018, the cash from operating began increasing, even if it only increased by 7.89%. The trend that more closely relates to the cash flow is the cash flow from investing activity, which increase from 2014 to 2017 and then decreases in 2018. The cause of this is the sharp is the 53.47% decrease in the Proceeds from the refranchising of restaurants. In addition, Yum! Brands invested $200 million in Grubhub in 2018, which it has not done before, adding to its expenses and decreasing the cash flow. This is fairly new since the company has not invested as much in years prior. It is a good sign for the company as long as it is still able to meet its short-term debts. Finally, in examining the cash flow from financing activities, you can see the cash flow has decreased every year, except in 2016 when it increased by 42.41%. These increases can be attributed to increases in the repayment of long-term debts as well as an increase in repurchasing shares of common stock. Overall, the trend shows a decrease in cash flows from operating, investing, and financing activities in 2018, which is why the net cash flow for Yum! Brands decreased by 255.50% from 2017 to 2018, a sharp decrease especially since up until that point, the net cash flow has been increasing. This shows that Yum! brands does not have as high liquidity as McDonald's and that is had a lot of expenses that it needed to cover as well as investing and financing that the company is relying on, even if it does not necessarily have the cash for them.

Common Size Analysis





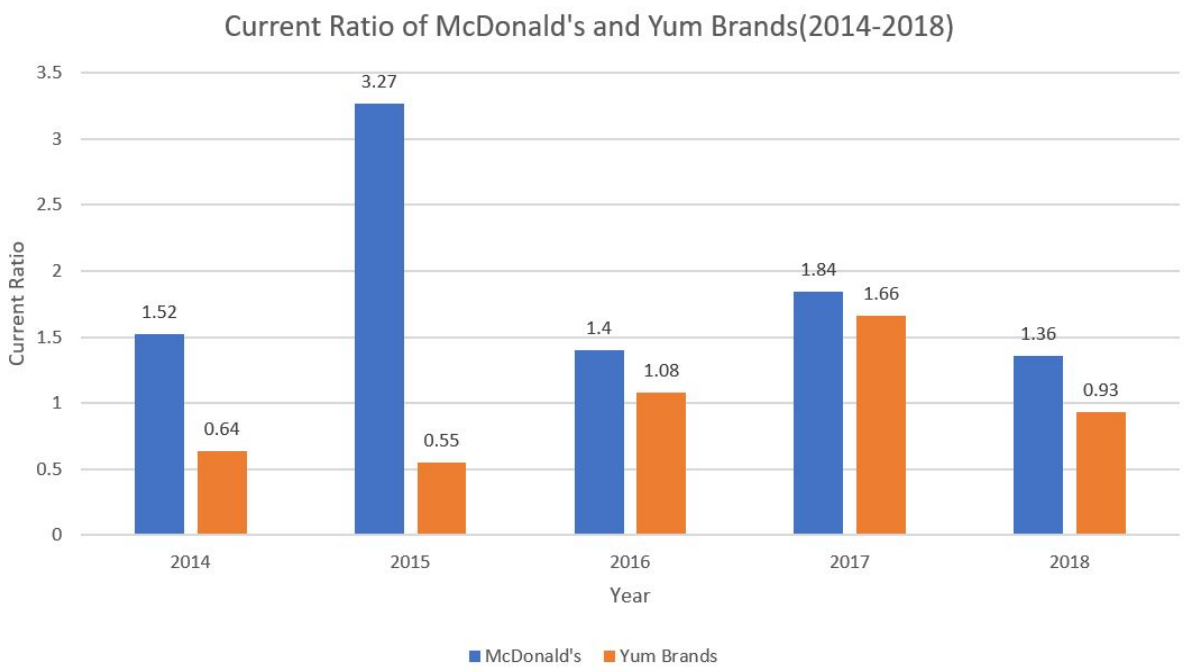
The graphs above emphasis on the proportion of cash breakdown for three different categories, including operating activities, investing activities, and financing activities. Based on

the graphs, while McDonald's does not have the overall higher operating ratio, they are more consistent with their operating ratio, meaning they have more control over their finances and their cash from operating expenses do not fluctuate a lot from 2014 to 2018, showing high liquidity and the ability of McDonald's to pay its short term debts. Investing and financing ratios are primarily negative, which is healthy for the company since it is showing that the company is investing in new equipment to replace their old equipment and are also investing in bonds. In addition, the company is buying back its stock, which helps keep the company in a strong position. In the case of 2016, McDonald's bought back $11 billion in stock, which is why the financing ratio is so large. In the other cases where financing ratio and investing ratio were positive, it means these costs were offset by other proceeds, as from franchising and investing in other assets, which is also healthy for the company. Another thing is that in the year in which investing ratio was positive, it is possible that the company did not invest as much as in other years. Yum! brands, on the other hand, has a different iteration. In 2014 and 2015, they had a higher operating ratio than McDonald's. Unlike McDonald's, their operation ratio decreased the following year before it increased again in 2018. Reasons for this are twofold. The decrease in amortization and depreciation and the decrease in refranchising loss, resulted in lower net cash from operating expenses, leading to lower operating ratio. For their investing ratio, since the company has gone from negative to positive cash from investing activities, it may be a sign that they are gaining return on their investments, however, it is also a sign that they are not investing a lot in terms of asset growth. For their financing activity, the increasing negative financing ratio is an indicator that the company means that it is paying its long-term debts and paying out its dividends, which shows string liquidity. In terms of liquidity, this comparison shows that based on the common analysis, McDonald's is better in terms of handling their cash assets and have

maintained more consistency when compared to Yum! Brands. On the other hand, McDonald's only handles its cash moderately and could still perform better.

Ratio Analysis

Current Ratio

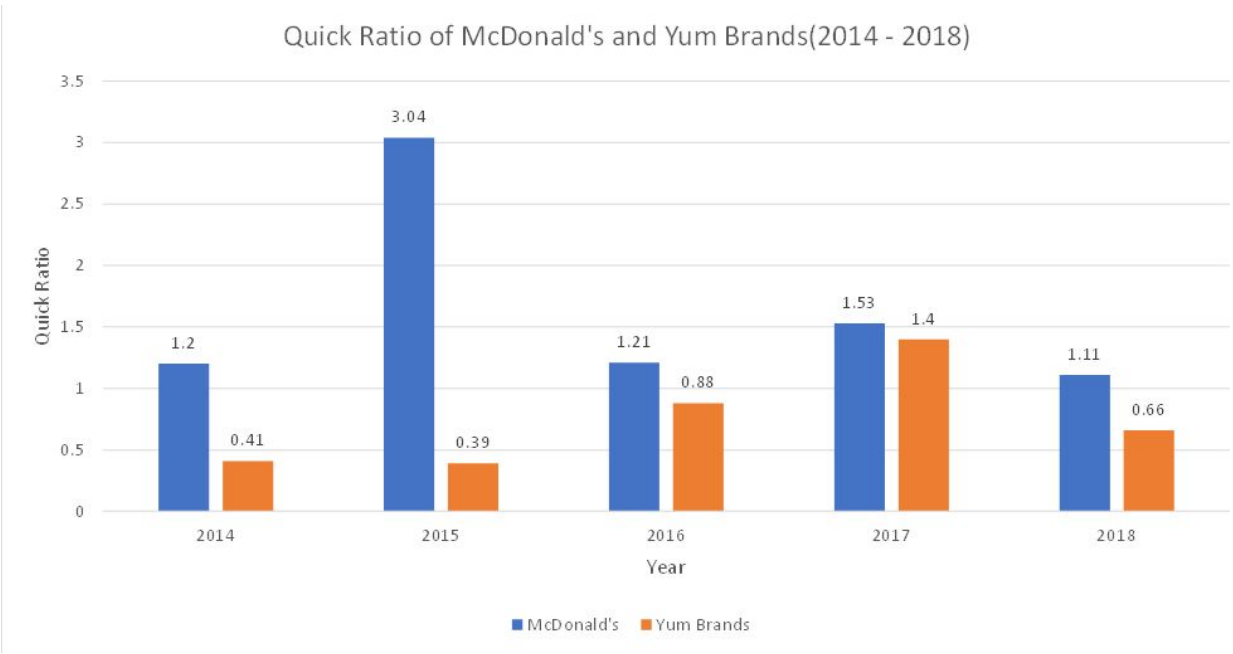


$$Current\ Ratio = \frac{Current\ Assets}{Current\ Liabilities}$$

Current ratio represents the current assets divided by the current liability. It determines liquidity by showing how much assets exceed liabilities and pay their debts. The current ratio can also be used to predict a company's ability to manage their operation in an efficient manner. As can be seen by the graph, McDonald's has handled its assets much more efficiently. This is likely due to the fact that McDonald's uses their assets as a way to generate revenue in addition to their inventory. One anomaly is in 2015, when McDonald's had an abnormal amount of cash. Aside from this, the graph shows that McDonald's would be able to pay its debts using its current liabilities if needed. In addition, another observation that can be made is that the

changes in the current ratio of McDonald's also stem from an increase in the accounts receivable and the decrease in the cash of the company. On the other hand, Yum! brands are not able to do this to the level of McDonald's. It is worth noting that on the year which Yum! Brands expanded their Pizza Hut brand, 2017, their current ratio went up. The company is not able to match its current assets to its liabilities until 2016 when it saw a large increase in its cash. The company has also had an increase in its receivables, which also increase its current assets. Something that has also helped Yum! Brands is the decrease in the company's accounts payable and short term borrowings, which decrease the liabilities.

Quick Ratio

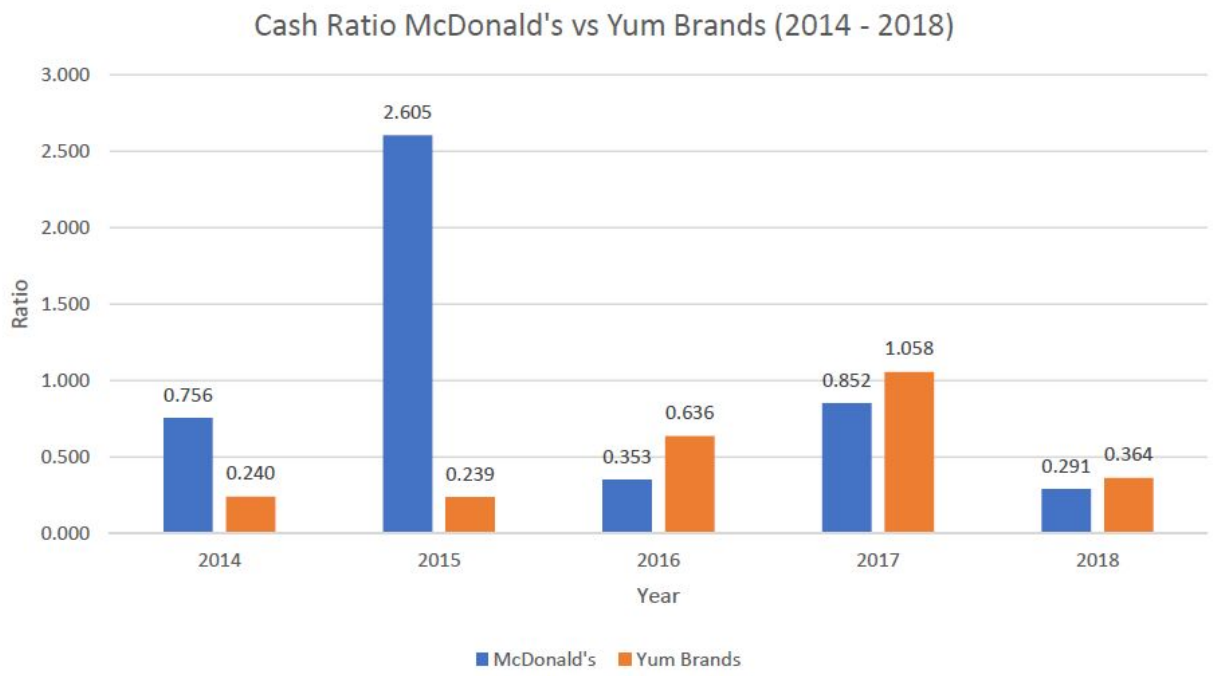


$$Quick\ Ratio = \frac{(Cash + Accounts\ Receivable + Trading\ Securities)}{Current\ \ Liabiliies}$$

The quick ratio can be represented as the sum of cash, accounts receivable, and trading securities, all divided by the current liabilities. This represents the dollar amount of liquid assets available for every dollar of current liabilities. The graph shows the quick ratio of both

companies. From here, we can see how McDonalds has a higher quick ratio throughout all 5 years. McDonald's has a higher liquidity that it should be able to repay its short-term debts as well as have stronger short-term liquidity. The graph follows a similar pattern as the current ratio, except in this case, for mcDonald's, it is still able to cover its liabilities with its most liquid assets On the other hand, all the investments by Yum! Brands has left it with very weak liquidity and not as much of an ability to pay off its short term debts, except for one year, where it is able to surpass McDonald's. This continues to show that McDOnald's is more liquid and able to pay off its debts.

Cash Ratio

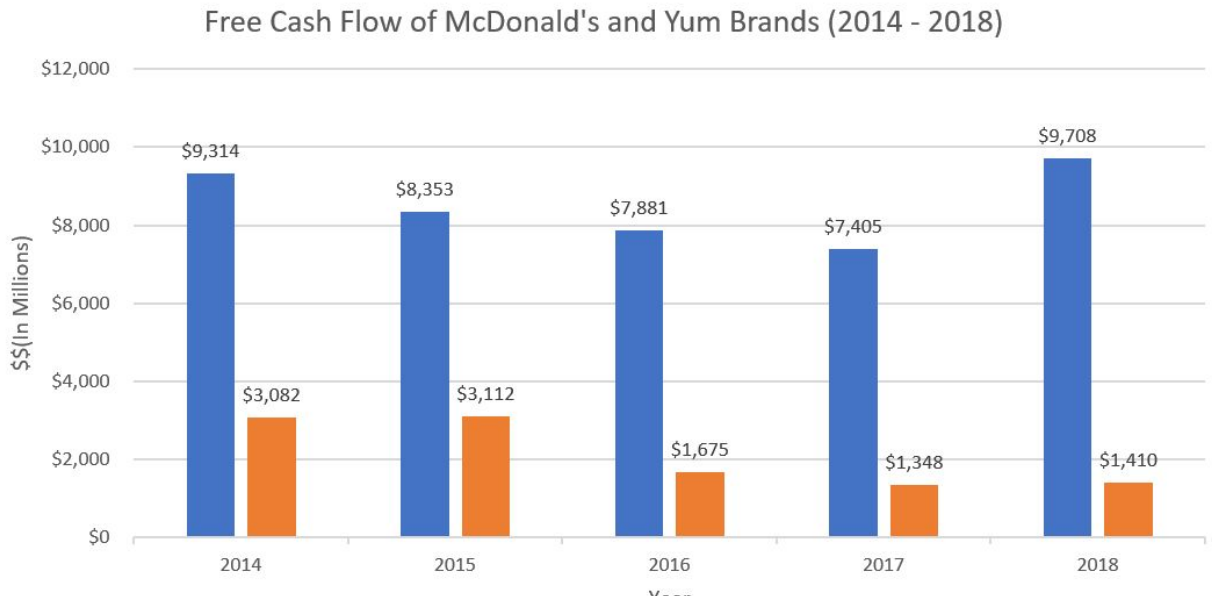


$$Cash\ Ratio = \frac{(Cash\ \&\ Cash\ Equivalents)}{Current\ Liabilities}$$

The cash ratio can be calculated by the given function above and is primarily used as a metric in determining the ability of a company to pay off its debt with cash or near cash

resources. Not only that, but it is a good indicator as to the amount of money that investors are willing to loan a company. By comparing this to current liabilities, the ratio determines how much of the current liabilities the company could cover with its cash assets. Based on the graph above, it appears that both McDonald's and Yum! Brands have struggled to maintain enough cash in order to be able to pay off their short term assets. Both would only be able to do this in one year, McDonald's in 2015 and Yum! brands in 2017. For both companies a large reason this is occurring is that both companies expend a lot of their cash assets on rebuying their own stock, which leads to large expenditures for financing activities. As a result, the resulting cash assets are not enough to cover the short term debts the company has. This is not necessarily a red flag the companies are in trouble,since this is not the basis of analysis for the liquidity of a company, but it is worth noting the observations that can be drawn about the companies' liquidity. In addition, it is not the most beneficial for the company to have large amounts of cash when it could use the cash to invest in asset growth and development. This graph does suggest that Yum! Brands has more cash than McDonald's, and one reason for this is that McDonald's uses more of its cash to rebuy stock and invest in future endeavors. In terms of liquidity, this ratio makes Yum! Brands look as the more liquid company.

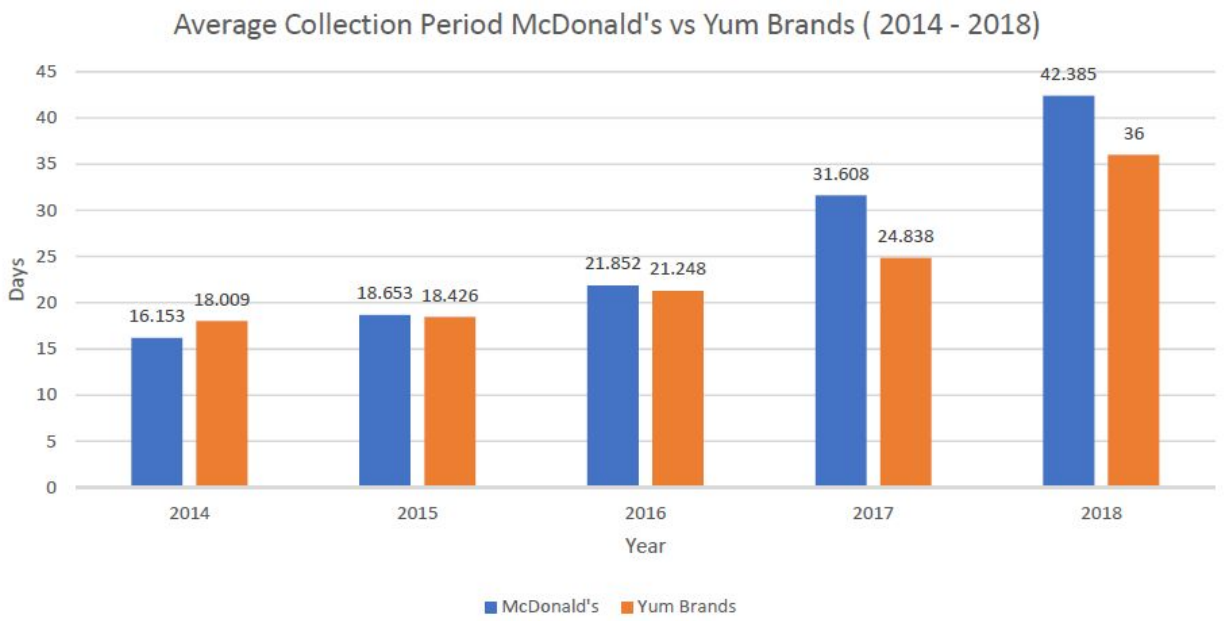
Free Cash Flow



$$Free\ Cash\ Flow\ =\ Cash\ Flow\ From\ Operating\ Activities\ -\ Capital\ Expenditures$$

The free cash flow represents the company's cash flow from operating activities minus the sum of capital expenditure. This shows the cash that the company is able to use in the future for its operations and development. The free cash flow that McDonald's has is much higher than that of Yum! Brands and suggests that it has higher prospects for the future in terms of its cash and ability to develop. A lot of this money is used by McDonald's to invest in asset growth and is used by both companies to buy back stock. McDonald's has a 31% increase in free cash flow from 2018 while Yum! Brands had a 4.60% increase, meaning that not only does McDonald's have higher ash flow, but it is also increasing at a faster rate based on the past year. It is not a good sign for Yum! Brands that its cash flow has been steadily declining, showing that is the ability to develop in the future. One observation made is that the free cash flow of McDonald's was also declining before it increased again in 2018. Both companies have a positive liquidity, which does show that they both have the ability to develop in the future, however: it is clear that McDonald's has more opportunity to invest in itself than Yum! Brands.

Average Collection Period

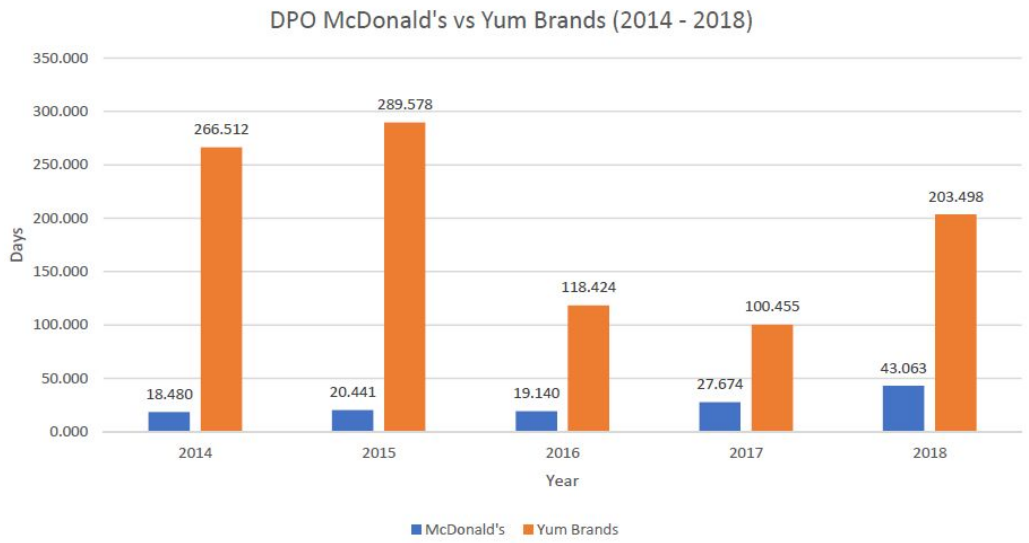


$$Average\ Collection\ Period = \frac{(Average\ Receivables * 365)}{Net\ Sales}$$

The Average Collection Period as shown above for both companies is meant as a way to show how quickly a company can turn its receivables into liquidity. The lower the collection period, the better position for the company since it means it can turn its receivables into cash more quickly. From the graph above, you can see that on average McDonald's and Yum! Brands have very similar Collection Periods from 2014 to 2016. In 2017, the Average collection period increased by44.64% where Yum! Brands only increased by 16.90%, and the disparity only continued into 2018 where McDonald's Average Collection Period continued to increase.One reason for this is their increase in receivables, which is a result of their investment as well as the fact that they have more franchised restaurants than company restaurants. This makes Yum! Brands look as the better company since it can more quickly turn its receivables

into cash and shows stronger liquidity. Aside from this, however, McDonald's increasing collection period may indicate slow collection of receivables, low liquidity, or high profit levels.

Average Number of Days Payable Outstanding



$$Avg\ Number\ of\ Days\ Payables\ Outstanding\ =\ \frac{(Average\ Receivables * 365\ )}{Cost\ of\ Goods\ Sold}$$

The DPO, or average number of days payables outstanding, is a reasonable way of measuring the liquidity of a company. This ratio calculates how long it takes for a company to pay back its payable accounts back to its credit holders. High liquidity is shown through low DPO since it means that the company can settle its debts quickly. As shown by the graphs, it is clearly seen that McDonald's has the lower DPO every year. This means that in terms of paying back its debts, McDonald's is able to do this more quickly than Yum! brands. Between 2014 and 2018, the DPO increased by 55.61%. On the other hand, Yum! brands decreased by 23.64% ,

which is a good sign, except the numbers are much larger than those of McDonald's, meaning it still takes longer to pay back his assets. This likely stems from the fact the McDonald's has ore cash in general, which it can use to pay off its debts, whereas Yum! Brands would either have to borrow money liquidate some of its assets.

Conclusion

Based on the information we have about McDonald's, we can conclude several things about the company. Firstly, we can see from the high cash flow from operating expenses that the company has liquidity and is able to pay off its short term assets. One thing to note is that the moderate liquidity of McDonald's allows it to use its cash on investing and rebuying its stock, to the point that it uses a large portion of its cash assets. McDonald's also invests heavily in rebuying their stock, which drives down cash from financing activities. Through this and money used for asset growth, the company is growing, however, it is riskier since it leaves less cash and results in lower liquidity. Based on the information, when deciding whether to invest in McDonald's, one should consider the fluctuation liquidity as well as that of Yum! Brands, which appears to have lower liquidity, but it is able to convert its assets to cash faster than McDonald's. From the information provided, from a liquidity standpoint, it seems safe to invest in McDonald's since its remaining assets allow it to have enough capital to cover its liabilities as well as being able to invest in future growth and development.

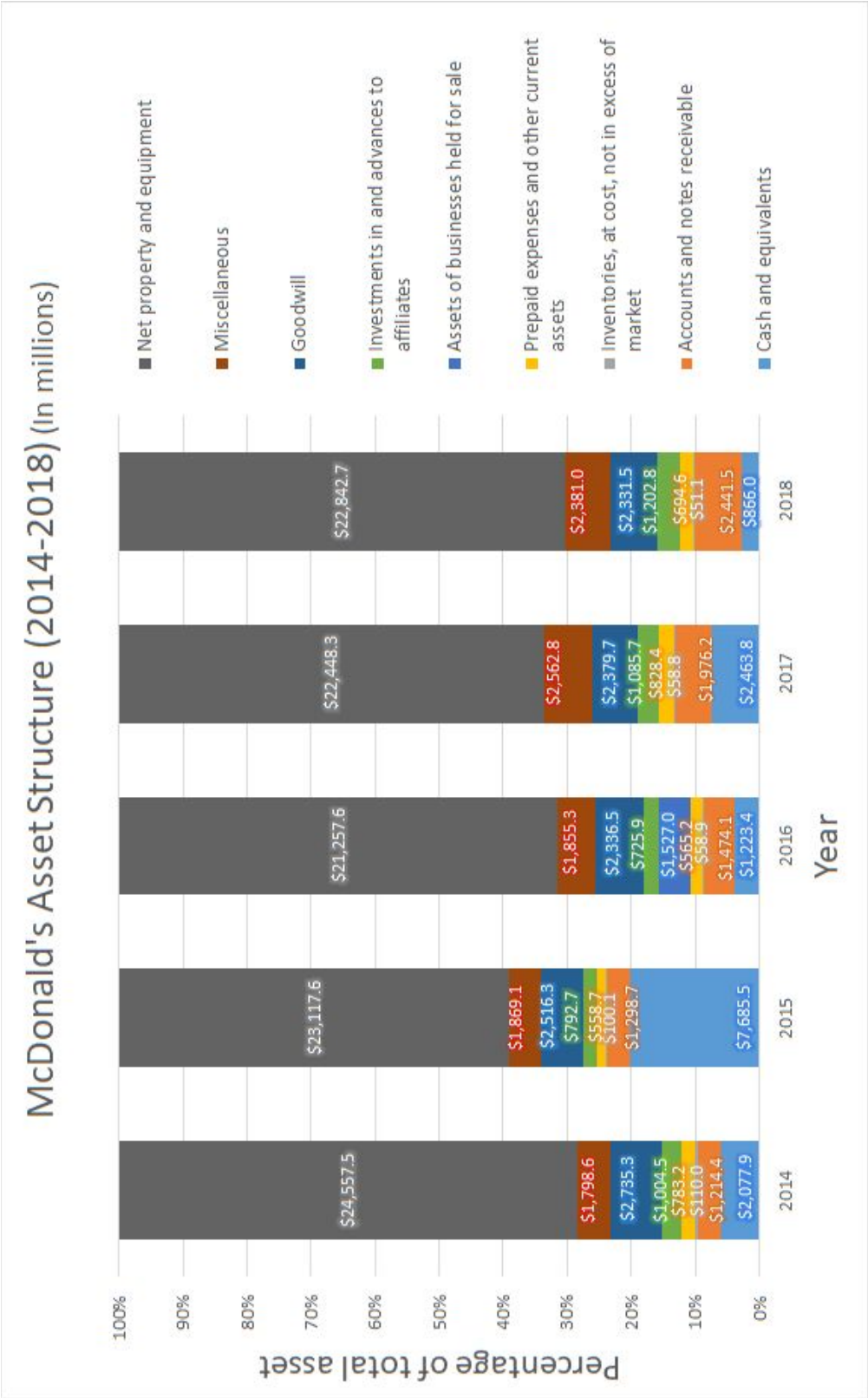
3. Financial Flexibility

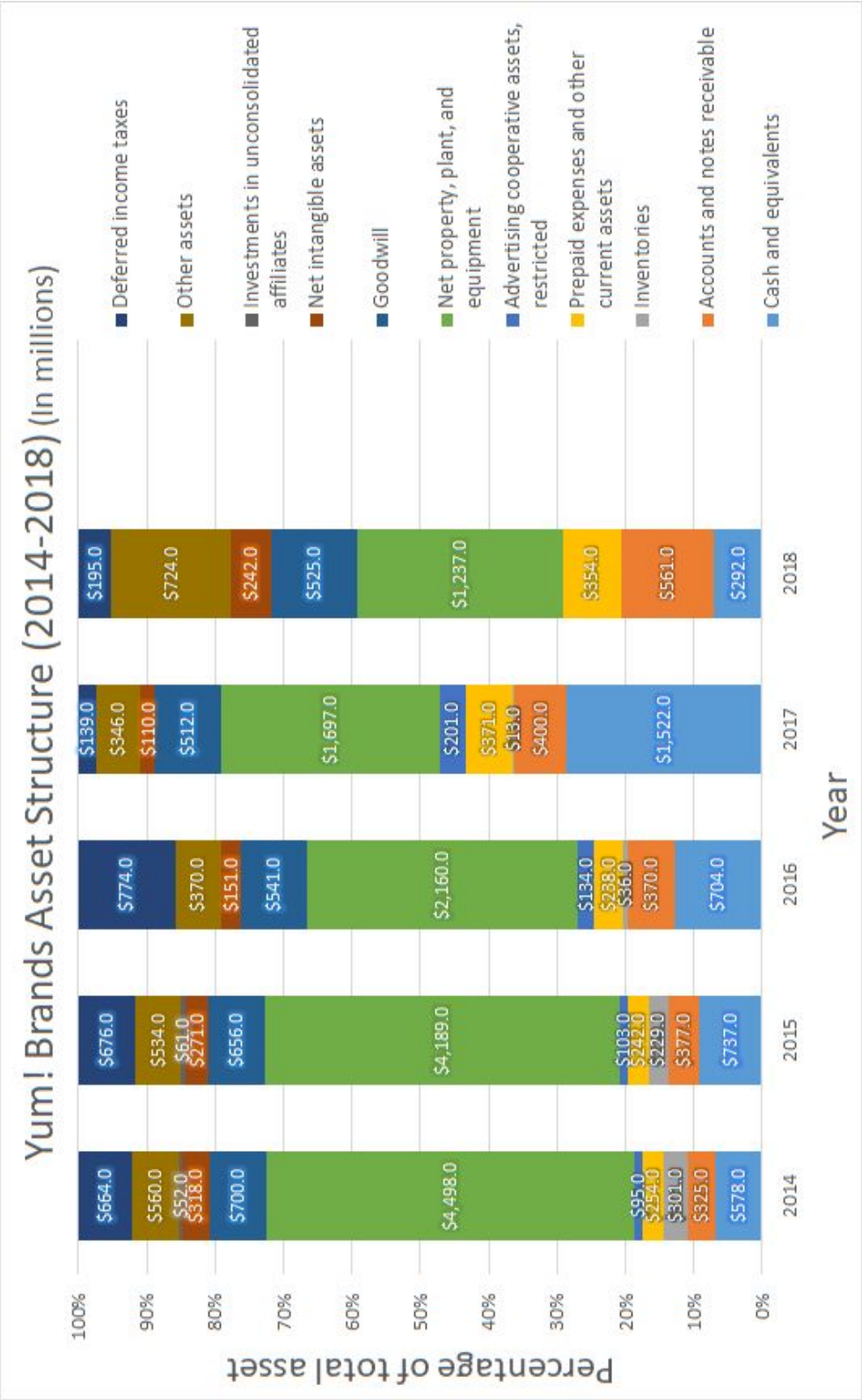
Introduction

Financial flexibility can be defined as a company's ability to restructure its financing in a cost effective manner, whether it be the ability to react to negative shocks or the ability to capitalize on profitable investment opportunities. In this section, we will be looking at a variety of factors that can be used to assess financial flexibility. These include, asset structure, cash holdings, capital structure, and a ratio analysis, which further includes interest coverage ratio, total asset turnover, fixed asset turnover, debt ratio, and debt-to-equity ratio, for both McDonald's and Yum! Brands. The significance of this section is the fact that it allows you to identify if the company has the resources and ability to survive long periods of economic stagnation and to capitalize on unexpected opportunities of economic prosperity. In other words, this section shows how effectively a company can adapt to change[1].

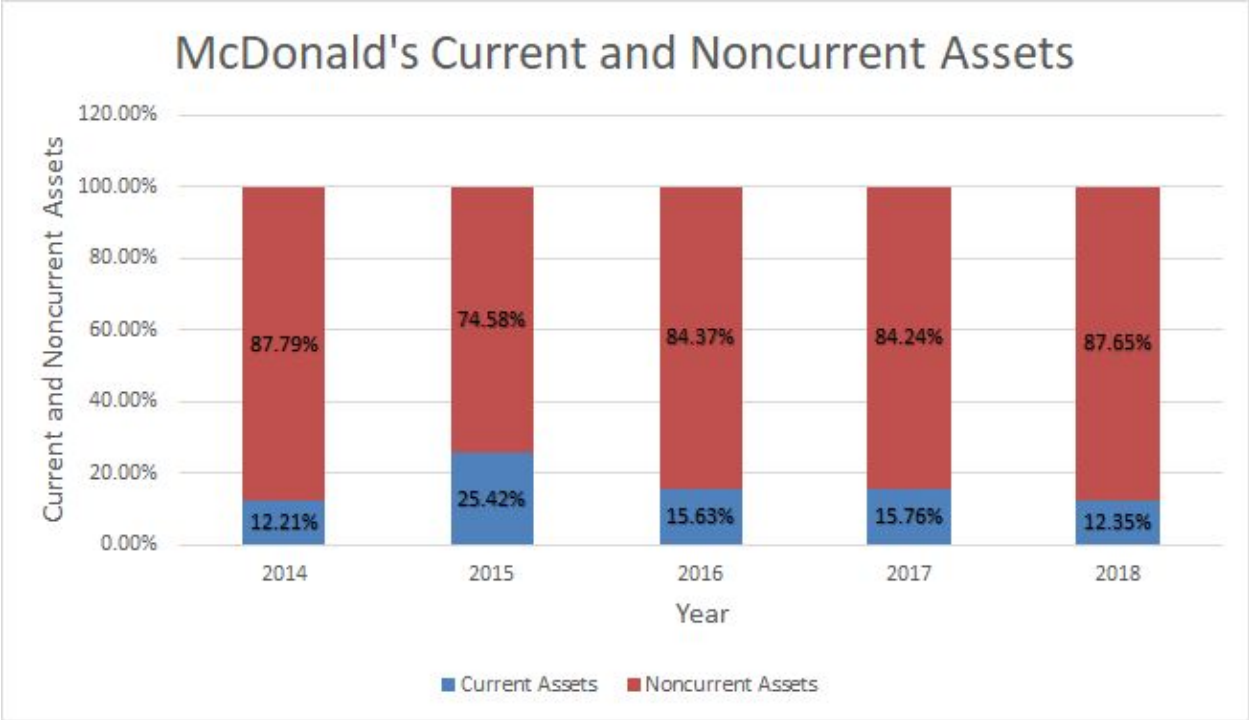
[1] For Yum! Brands, particular financial statement figures do not match in different 10Ks as values have been restated. In this section, the values from that year's respective 10K have been used, i.e., the restated values have not been used.

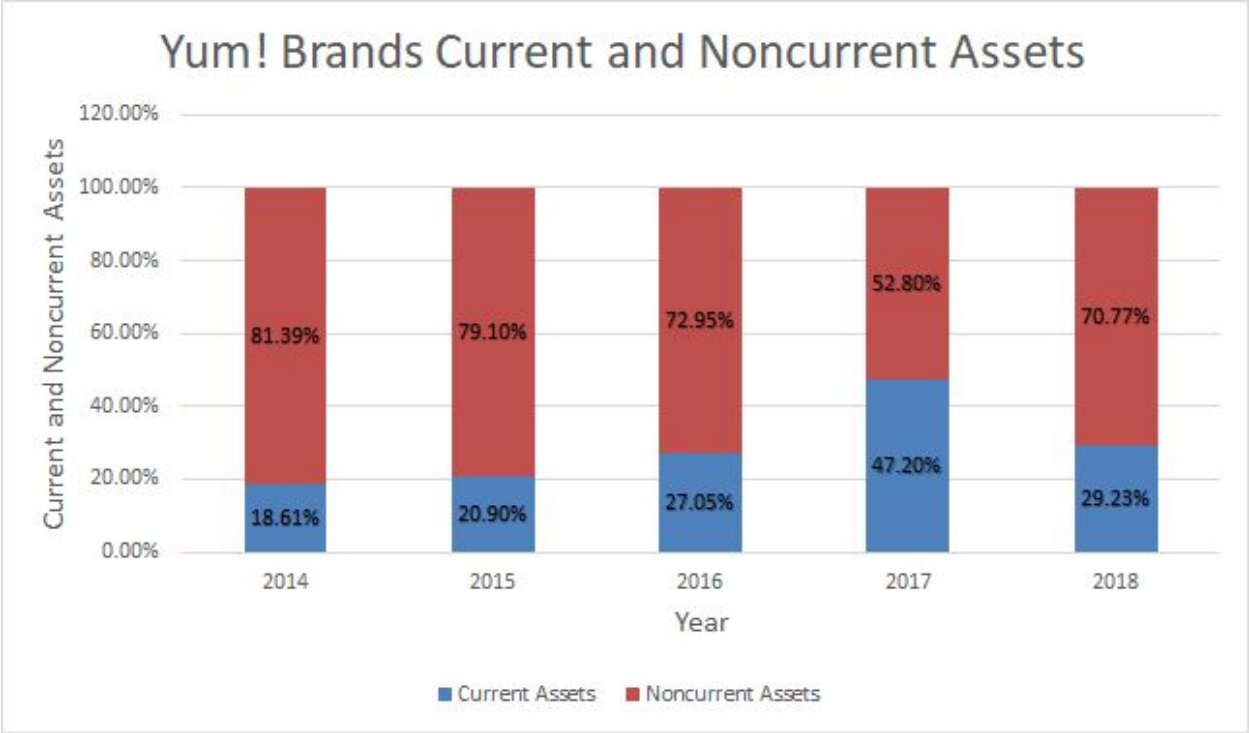
Asset Structure




Yum! Brands Asset Structure (2014-2018) (In millions)
Percentage of total asset
100%
90%
80%
70%
60%
50%
40%
30%
20%
10%
0%
$664.0
$560.0
$52.0
$318.0
$700.0
$4,498.0
$95.0
$254.0
$301.0
$325.0
$578.0
$676.0
$534.0
$61.0
$271.0
$656.0
$4,189.0
$103.0
$242.0
$229.0
$377.0
$737.0
$774.0
$370.0
$151.0
$541.0
$2,160.0
$134.0
$258.0
$36.0
$370.0
$704.0
$139.0
$346.0
$110.0
$512.0
$1,697.0
$201.0
$371.0
$13.0
$400.0
$1,522.0
$195.0
$724.0
$242.0
$525.0
$1,237.0
$354.0
$561.0
$292.0
2014
2015
2016
2017
2018
Year
Deferred income taxes
Other assets
Investments in unconsolidated affiliates
Net intangible assets
Goodwill
Net property, plant, and equipment
Advertising cooperative assets, restricted
Prepaid expenses and other current assets
Inventories
Accounts and notes receivable
Cash and equivalents

In this subsection, we are looking at the asset structure of both McDonald's and Yum! Brands. In both the bar graphs, the length of each bar (for each year) is the same, as we are looking at the breakdown of the total assets rather than total assets themselves. The total assets, including the subcomponents, of McDonald's and Yum! Brands differ in size. Thus, in order to conduct a more accurate analysis, we will be analyzing the important components of total assets (relative to this section) as a percentage of total assets. We will also be looking at the breakdown of total assets in terms of current and noncurrent assets. Below are the bar graphs (in terms of percentages) of the latter, for both McDonald's and Yum! Brands:





For McDonald's, current assets vary from 12.21% to 15.63% (of total assets) with one spike of 25.42% , while for Yum! Brands, this number varies from 19.72% to 29.23%, with one spike of 47.20%. In terms of dollar value, McDonald's has a significantly greater amount of current assets than Yum! Brands. However, as a percentage of total assets, McDonald's' numbers are lower than that of Yum! Brands. A higher amount of current assets means the company has more assets that can be converted to cash in a short period of time (i.e., a year) if there is a need to do so. This is a crucial element to a company's financial flexibility.

One reason why Yum! Brands' current asset percentage is higher than that of McDonald's could be the fact that net PP&E occupies a significantly higher portion of McDonald's' total assets than it does for Yum! Brands.

The asset structure of a company represents the breakdown of their total assets. It shows the strategy a company employs for earning from its assets. This is of course dependent on which industry the company is a part of. For both McDonald's and Yum! Brands, net property, plant, and equipment (net PP&E) occupies the highest percentage of their total assets:

Year	McDonald's (net PP&E %)	Yum! Brands (net PP&E %)
2014	71.64%	53.90%
2015	60.93%	51.88%
2016	68.52%	39.43%
2017	66.41%	31.95%
2018	69.62%	29.95%

[2]

Both McDonald's and Yum! Brands run huge chains of fast-food restaurants and would have to heavily invest to consistently open and maintain each individual restaurant, thus explaining these numbers. In 2018, McDonald's had 37,855 systemwide restaurants, with 35,085 being franchised and 2,770 being company-operated, while Yum! Brands had over 48,000 restaurants with 98% of them being owned and operated by franchisees. However, considering the fact that net PP&E are long-term fixed assets and are difficult to convert into cash, this would limit their financial flexibility a majority of their assets cannot be converted to cash in a short period of time, thus hindering their ability to be able to react to negative shocks or profitable investment opportunities. In addition, net PP&E depreciates over time, thus

[2] For net PP&E, McDonald's includes all leases on the balance sheet except those with an initial term of 12 months or less. A lease, among other things, is included in all conventional franchising agreements for McDonald's. However, for Yum! Brands, existing leases are not included on the balance sheet. Lease assets and liabilities will be represented on the balance sheet through a modified retrospective transition approach for all leases existing at or entered into after the first quarter of 2019. Existing financial statements have not been adjusted.

decreasing in value every year. However, it is also critical to the ability to generate revenue. As seen in the table, the net PP&E% for McDonald's remains consistent, while Yum! Brands shows a downward trend, possibly due to increased franchising.

For both companies, we will now analyze the accounts and notes receivables, with the exact numbers below:

Year	McDonald's (receivables %)	Yum! Brands (receivables %)
2014	3.54%	3.89%
2015	3.42%	4.67%
2016	4.75%	6.75%
2017	5.85%	7.53%
2018	7.44%	13.58%

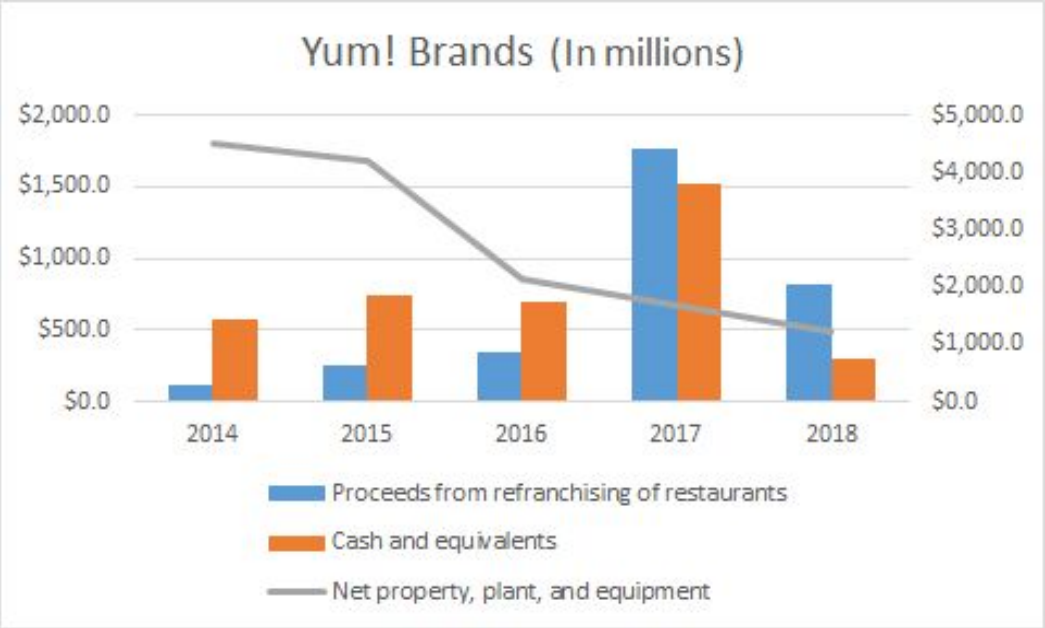
In the fast-food industry, receivables are generated through franchise and lease agreements with the company's franchisees. Through ongoing business relationships with franchisees, both McDonald's and Yum! Brands generate revenue (in the form of receivables) through royalties, direct financing leases, initial fees, etc. Yum! Brands states that trade receivables (royalties) are generally due within 30 days of the period of sales. Thus, a high percentage of receivables, that would specifically come under current assets, such as accounts receivable, indicates the ability to generate cash in a short period of time. At the same time, an abnormally large amount of receivables is a bad sign as it means that the company is not collecting cash. However, receivables occupy a very low percentage of total assets for both McDonald's and Yum! Brands across all five years. One reason for this is that payment for items purchased is always made at the time of purchase in the fast-food industry. On the other hand,

both companies do show an upward trend in their receivables. An interesting possible correlation that can be made comparing the net PP&E % to the receivables % is that as net PP&E goes down, due to increased franchising, receivables go up, due to the increase in rent, royalties, and initial fees from said franchising.

Apart from a spike in cash and equivalents, which will be analyzed in the cash holdings subsection, both McDonald's and Yum! Brands have maintained a stable breakdown of their total assets across all five years (McDonald's more than Yum! Brands), thus indicating a consistent strategy of managing their asset structure.

Cash Holdings

In the asset structure section, we observed a spike in cash and equivalents for both McDonald's and Yum! Brands. From 2014 to 2015, cash and equivalents for McDonald's went from $2,077,900,000 to $7,685,500,000 respectively, and for Yum! Brands, from 2016 to 2017, it went from $704,000,000 to $1,522,000,000 respectively. After analyzing the consolidated statement of cash flows and consolidated balance sheets for both companies, we were able to find the following correlation for Yum! Brands:



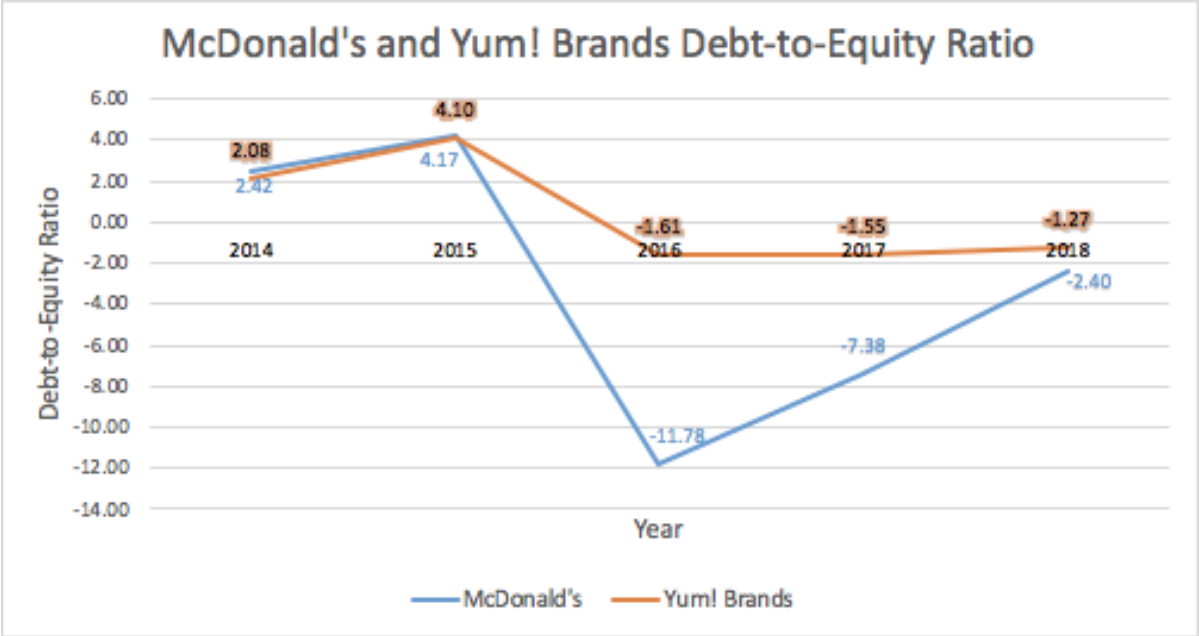
As seen in the above graph, there is a spike in cash and equivalents in 2017. At the same time, there is a drop in net PP&E. One explanation for this is a spike in proceeds from refranchising of restaurants, which is a financing activity in the consolidated statement of cash flows. Thus, as restaurants are sold to franchisees, the company receives cash in exchange for property. One reason for refranchising is that as a company grows in size, it is important to

prioritize the maintenance of their system rather than focus on individual restaurants, preferring to pass this burden onto smaller franchisors. Cash holdings is a very good indicator of a company's financial flexibility as in the event of an economic downturn, a high level of cash can help to combat negative shocks. Thus, in 2017, the financial flexibility of Yum! Brands greatly improved, following the dramatic increase in cash and equivalents.

Capital Structure

Capital Structure refers to the particular combination of debt and equity used by a company to finance its operations and growth. When analysing capital structure, we use a debt-to-equity ratio, which is calculated by dividing total debt by the total shareholders' equity. A company that is heavily financed by debt is considered a riskier investment while low reliance on debt is considered the opposite. Although riskier, being financed by debt is not necessarily a bad thing as this risk may be the primary source of a firm's growth.

Below is a graph of McDonald's and Yum! Brands debt to equity ratio from 2014 to 2018.

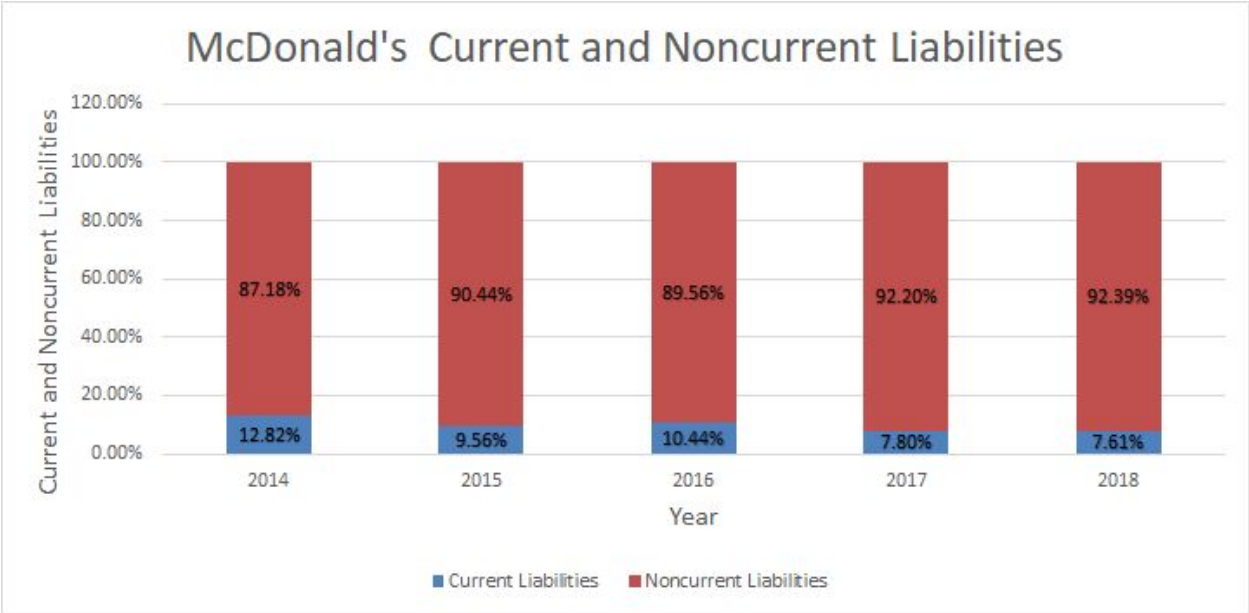


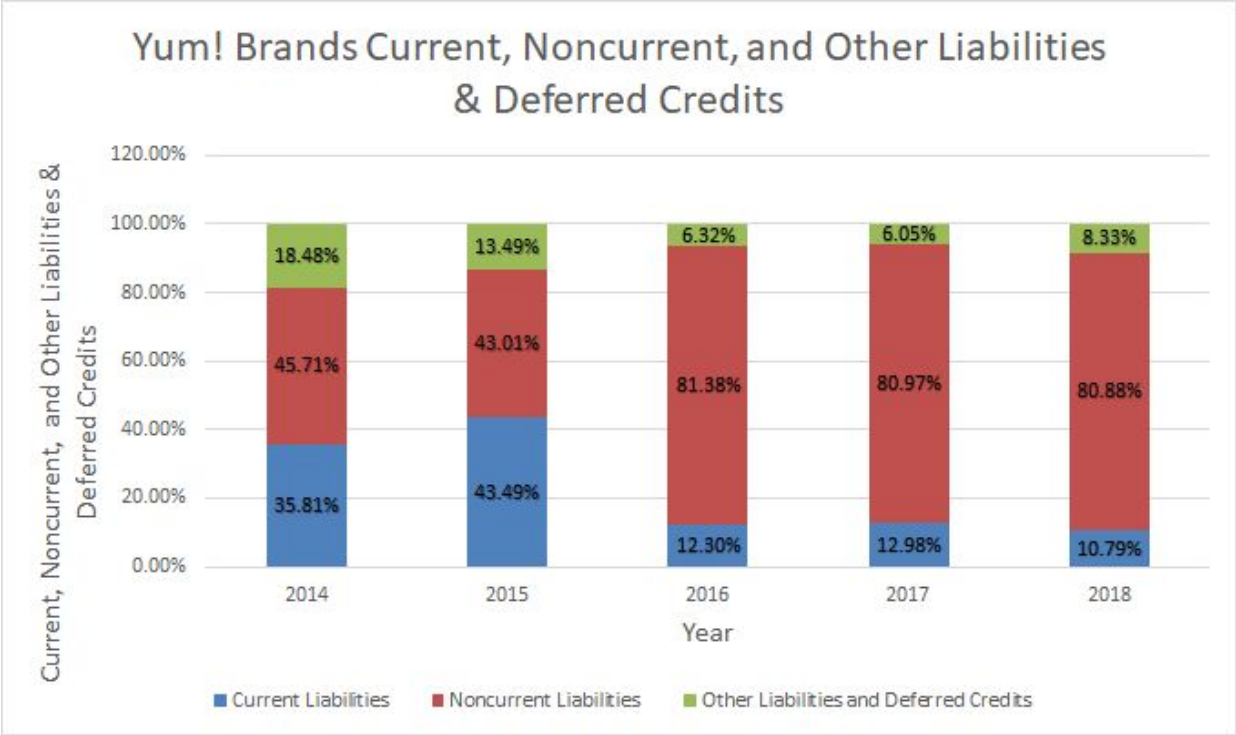
In the above graph, we will be analyzing only the values for 2014 and 2015, as the remaining values are irrelevant due to total shareholders' equity being a negative number[3]. In

[3] As we are not analyzing the numbers for 2016, 2017, and 2018, due to negative shareholders' equity, we will instead also be analyzing the interest coverage ratio, which is in the next section.

both 2014 and 2015, both McDonald's and Yum! Brands show very similar and relatively high numbers. Both have shown the same pattern over the course of two years, with trend lines almost coinciding. A high debt-to-equity ratio means that the company is undertaking more debt relative to total shareholders' equity in order to finance its operations. Thus, a higher ratio indicates higher risk, but could also be an indicator of financial growth.

Both companies show ratios greater than one, thus showing that if there were to be a negative shock in the economy, their' outstanding debt cannot be covered by shareholders' equity, showing limited financial flexibility. We will now be analyzing the breakdown of liabilities in terms of current and noncurrent liabilities.





The above two graphs show the breakdown of liabilities for McDonald's and Yum! Brands. There is an extra column of 'other liabilities and deferred credits' for Yum! Brands, but these are relatively minor. Both companies maintain a downward trend in their current liabilities, and thus, an upward trend in their noncurrent liabilities. A lower amount of current liabilities means that a company has a lower amount of financial obligations that are due within a short period of time (i.e., a year). This enhances financial flexibility as in the event of a negative shock or profitable investment opportunity, short-term obligations can hinder a company's ability to react in a timely manner. Thus, in terms of the last three years, both companies have been successful at maintaining a low percentage of current liabilities, enhancing their financial flexibility. However, a large amount of long-term obligations do imply a higher investment risk.

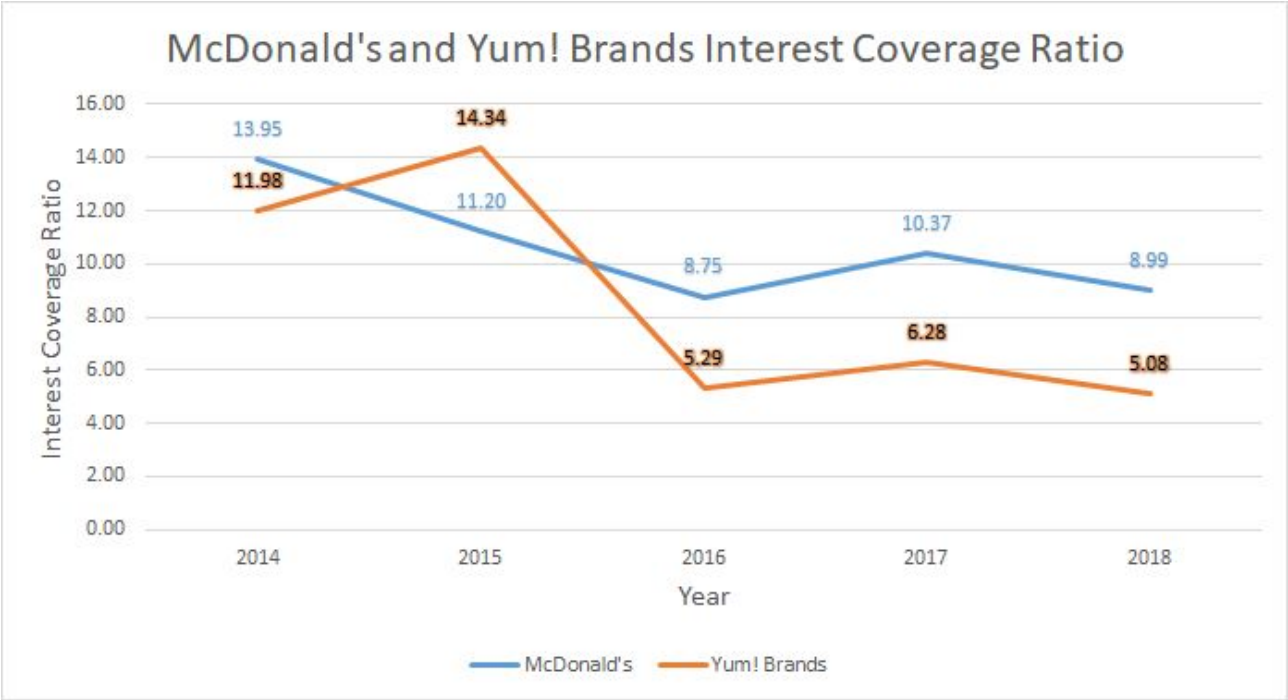
Ratio Analysis

Interest Coverage Ratio

The interest coverage ratio is a debt ratio that indicates the level of difficulty for a company to pay interest on outstanding debt. It is calculated by dividing earnings before interest and taxes (EBIT) by interest payments, within a given period.

$$Interest\ Coverage\ Ratio = \frac{EBIT}{Interest\ Expense}$$

The higher the ratio, the easier it is for the company to cover its interest expenses on its outstanding debt. For example, an interest coverage ratio of three means that a company has three times the amount of earnings before interest and taxes than interest expenses.

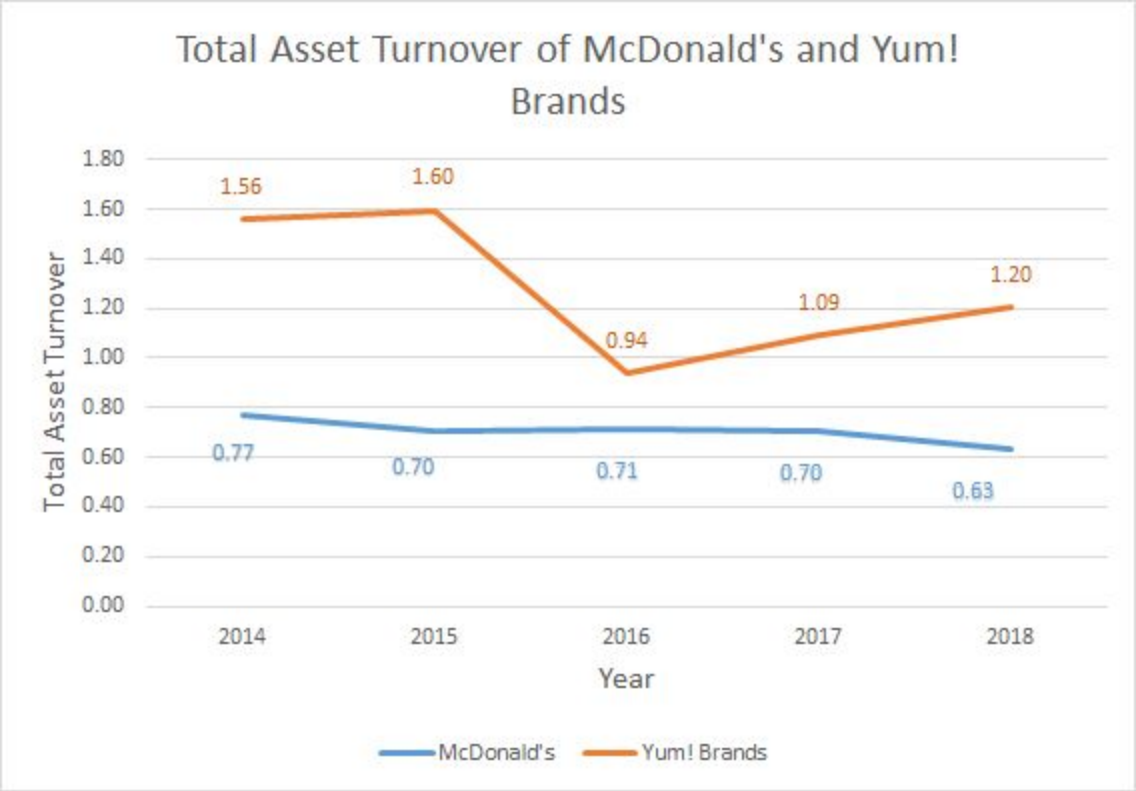


Both companies show a very strong interest coverage ratio, consistently maintaining values above 5.08 (Yum! Brands) and 8.75 (McDonald's), and reaching values as high as 14.34 (Yum! Brands) and 13.95 (McDonald's) . However, they also show a downward trend, Yum! Brands more than McDonald's, thus indicating that they might not be able to pay off debts at some point in the future. Comparing the two companies to each other, we can observe that apart from 2015, McDonald's has consistently had a higher interest coverage ratio than Yum! Brands. In addition, McDonald's has also maintained a more stable ratio, despite showing a slight downward trend. However, both companies show strong numbers, thus showing that they possess adequate earnings to cover interest expense on debt and will not need to dig into cash holdings for this purpose. This reflects the ability to survive potential future economic downturns and adequate financial flexibility for the same. But, as mentioned above, McDonald's shows stronger and more stable numbers.

Total Asset Turnover

The total asset turnover of a company is the ratio of its sales/revenues to its average total assets.

$$Total\ Asset\ Turnover = \frac{Total\ Sales\ /\ Revenues}{(Beginning\ Total\ Assets + Ending\ Total\ Assets)\ /\ 2}$$



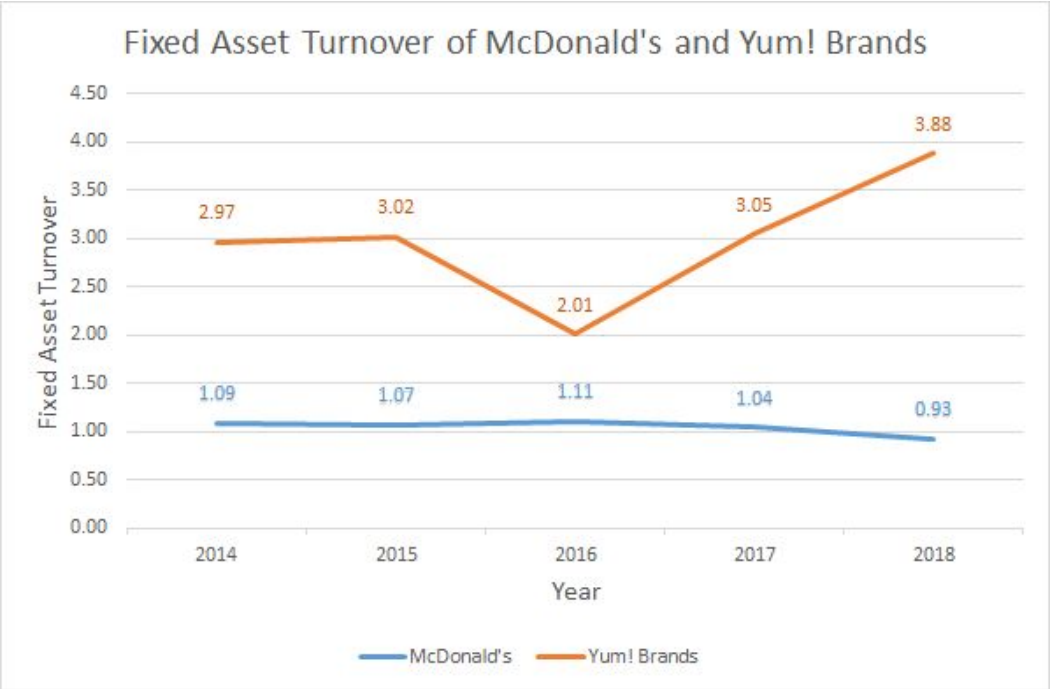
This ratio indicates how successful a company is in its strategy to generate revenue from its assets. To be more specific, a total asset turnover of 1 means that the company generates $1 in sales for every dollar in assets. Thus, a higher total asset turnover indicates greater performance. From the graph above, we can see that Yum! Brands has consistently been more successful than McDonald's at generating revenue from its assets. Despite a steep drop in 2016

due to a decline in revenue, the total asset turnover of Yum! Brands has been steadily increasing. As for McDonald's, the opposite is true as the total asset turnover has been steadily decreasing. However, despite having a lower asset turnover, McDonald's owns significantly more assets than Yum! Brands, and thus generates much more revenue.

Fixed Asset Turnover

The fixed asset turnover of a company is the ratio of its sales/revenues to its average fixed assets.

$$Fixed\ Asset\ Turnover = \frac{Total\ Sales\ /\ Revenues}{(Beginning\ Fixed\ Assets\ (net) + Ending\ Fixed\ Assets\ (net))\ /\ 2}$$



This ratio indicates how successful a company is in its strategy to generate revenue from specifically its fixed assets. To be more specific, a fixed asset turnover of 1 means that the

company generates $1 in sales for every dollar in fixed assets, namely, net PP&E. The reason we don't use net sales here is because we cannot subtract sales returns or discounts because there are none in the fast-food industry. We can once again see from the graph above that Yum! Brands has consistently had a higher fixed asset turnover than McDonald's. The patterns observed in the total asset turnover are the same in the fixed asset turnover. The importance of this section is that in the fast-food industry, companies must heavily invest in net PP&E, i.e., their fixed assets. This is confirmed by the table in the asset structure section which shows the percentage of total assets that net PP&E occupies. Thus, the amount of revenue both McDonald's and Yum! Brands generate from their fixed assets occupies the majority of their total revenue. This is an important indicator of a company's financial flexibility as it shows how effective its investment in fixed assets is at generating revenue.

Leverage Ratios

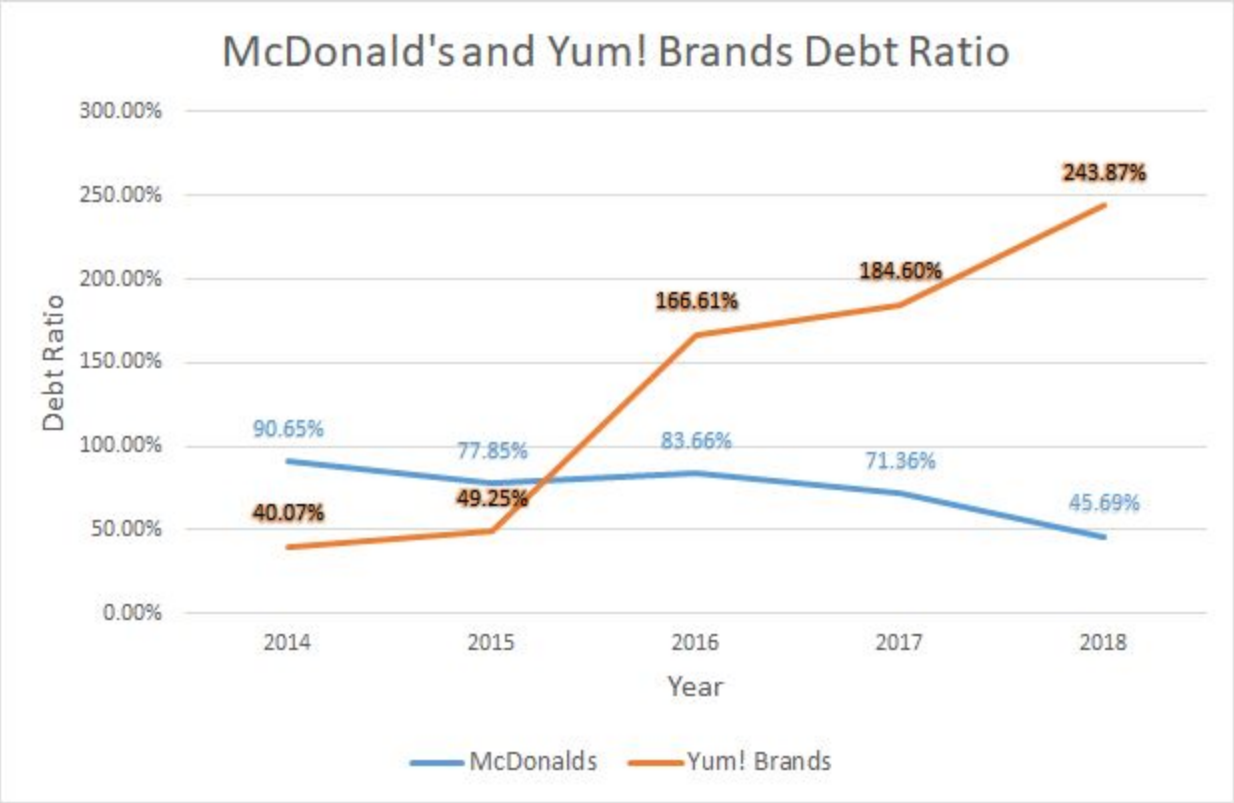
Leverage is the result of a company undertaking debt in order to enhance potential returns from an investment, essentially financing their assets. However, this can also enhance losses, depending on which way the investment moves. A 'highly leveraged' company is one that is risky to invest in, for it has more debt than equity, thus limiting its financial flexibility. In the same way that leverage amplifies the upside of an investment, it also amplifies the downside. Thus, in the event of a negative shock in the economy, a highly leveraged company will face problems. Below, we will look at a few leverage ratios that will provide more information about the leverage of McDonald's and Yum! Brands.

Debt Ratio / Debt-to-Assets Ratio

The debt ratio is one of the many financial ratios that measures the degree to which a company is leveraged. It is also known as the debt-to-assets ratio, found by calculating the ratio of total debt to total assets.

$$Debt\ Ratio = \frac{Total\ Debt}{Total\ Assets}$$

In other words, the debt ratio shows the amount of assets a company owns that are financed by debt.



The numbers in the graph above have been displayed as a percentage. A higher debt ratio indicates greater leverage, and thus, greater financial risk for the company. From the formula, we know that a debt ratio higher than 100% implies that total debt exceeds total assets, and a debt ratio lower than 100% implies that total assets exceed total debt. In the graph above, we find two completely different trends for McDonald's and Yum! Brands. Thee debt ratio for McDonald's starts at 90.65%, gradually falling to 71.36% in 2017, following a steep drop to 45.69% in 2018. On the other hand, the debt ratio for Yum! Brands starts at 40.07% in 2014, rising exponentially, eventually reaching 243.87% in 2018. At face value, we know that in 2014, McDonald's was leveraged more than double the amount of Yum! Brands, with this trend completely reversing over the next five years, showing that in 2018, Yum! Brands was

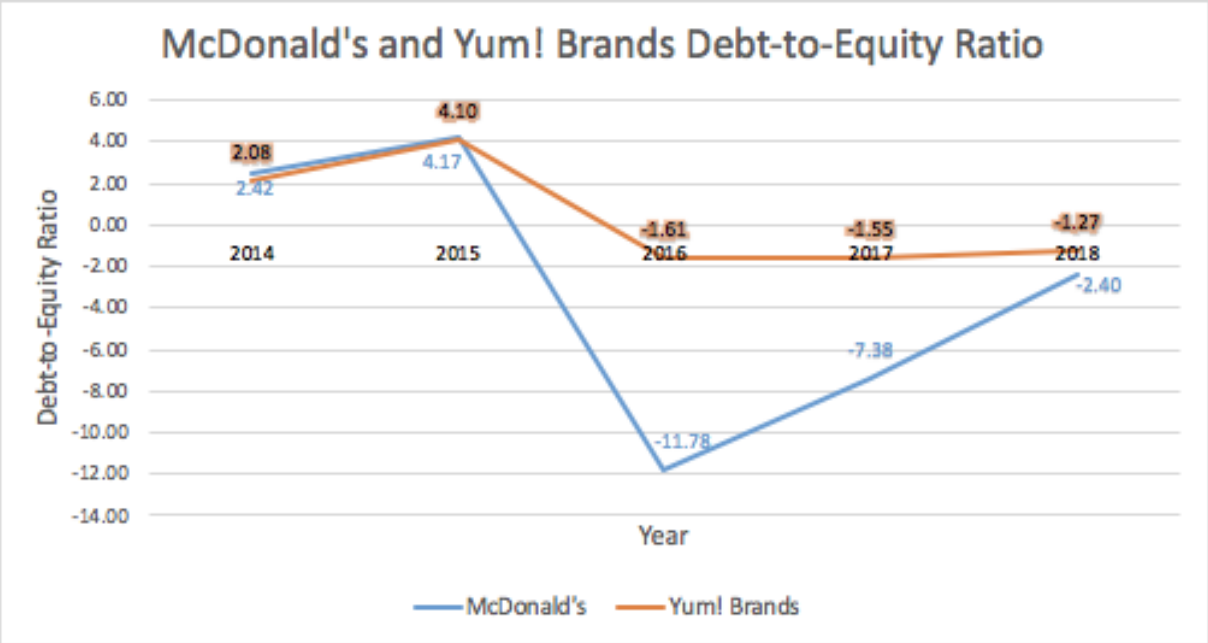
leveraged more than five times that of McDonald's. In order to draw a more accurate conclusion from these numbers, we must look at how capital-intensive the fast-food industry is and compare the debt ratio numbers to the industry average.

The fast-food industry can be described as relatively capital-intensive, some examples of capital expenditures being commercial space, renovation, equipment, hiring and training employees, and adhering to food safety regulations. Thus, according to morningstar, the industry average of the debt ratio in the fast-food industry is around 40%. Analyzing the most recent numbers (2018) of McDonald's and Yum! Brands, we can see that McDonald's is just above the industry average, at 45.69%, while Yum! Brands is much higher, at 243.87%. The conclusion we can draw from this is that Yum! Brands is very highly leveraged, and is thus at greater risk in the event of an economic downturn, lacking financial flexibility. On the other hand, McDonald's is in a much better position. However, both companies are heavily franchised, and can thus use royalties, initial fees, rent, etc. to pay off debt.

Debt-to-Equity Ratio

The debt-to-equity is another ratio that is used to measure a company's leverage. It is found by calculating the ratio of total liabilities to total shareholders' equity.

$$Debt - to - Equity\ Ratio = \frac{Total\ Debt}{Total\ Shareholders'\ Equity}$$



[4]

[4] This has already been analyzed in the Capital Structure section. It has only been mentioned a second time to indicate that it is also a leverage ratio.

Conclusion

Throughout the financial flexibility section, we have looked at the asset structure, capital structure, cash holdings, interest coverage ratio, fixed asset turnover, debt ratio, and much more, of McDonald's in comparison to Yum! Brands. After conducting a thorough analysis, we can say with confidence that in terms of financial flexibility, McDonald's is in a stronger position and a better company to invest in. Its high percentage of net PP&E is very good for revenue generation. It has a more consistent asset structure than Yum! Brands, a lower debt-to-equity ratio, a higher interest coverage ratio, and a much lower debt ratio. In addition, it shows an upward trend in receivables and a downward trend in current liabilities. Evidently, all of these pros do come with their respective cons, but what we can conclude from these pros is that McDonald's is not highly leveraged, has a decent amount of assets that can easily be converted into cash (taking into account the industry it operates in), a low amount of short-term obligations, and can easily cover its interest expenses with its earnings. Thus, we can conclude that McDonald's is in a better position to competently react to negative shocks in the economy and capitalize on profitable investment opportunities.

4. S.W.O.T. Analysis

Strengths

Strengths are what the company does particularly well. They are positive attributes that distinguishes the company and provides an advantage over competitors.

Large size

As of 2018, McDonald's operates the second-largest restaurant network in the world. In total, the company and its franchisees conduct 37,241 restaurants in 120 countries. The sheer size of this network is a strength that provides various advantages over competitors. One such advantage is economies of scale. McDonald's is able to share fixed costs over many locations across the globe, making low prices possible. Because of its size, McDonald's also has significant market power over suppliers. The company can exercise this power by requiring lower prices from them. For example, McDonald's leveraged its business with The Coca Cola Company to form an agreement that guarantees no other restaurant chain can sell Coca Cola drinks for lower prices than McDonald's, even if it means losing the business to PepsiCo. Lastly, the large network of stores allows a wide audience reach. According to the company's former CEO Steve Easterbrook, in five of its largest markets, 75% of the population lives within 3 miles of a local restaurant. Wide audience reach gives McDonald's an advantage in customer acquisition over rivals.

Standardised Processes

McDonald's employs a comprehensive system of standardised processes, especially during the initial establishment of a franchise. To ensure proficiency in all aspects of operating a

McDonald's restaurant business, every franchise owner is required to complete an extensive training program at Hamburger University and spend 9-18 months working at a restaurant near their home. Additionally, employees are all given a handbook that details appropriate procedure for every scenario. Standardised processes in operations can decrease ambiguity, guarantee quality, boost productivity, reduces human error, and increase employee morale, all positive factors that improves overall business efficiency. While standardised processes can greatly help the employees, it can also benefit customers. Consistency in services can make customers feel more comfortable and at home since they know exactly what to expect at every McDonald's restaurant.

Strong Brand Image

Since its beginnings, the company has fostered the most recognisable brands in the market. According to Forbes, McDonald's was named the 10th most valuable brand in the world for 2019; the brand was valued at $43.8 billion USD. This accomplishment is amplified considering no other restaurant brand, except Starbucks, is included in the top 50. After multiple rebrandings in order to convey values such as 'quality' and 'family', The 'Golden Arches' is now one of the most distinguishable brands internationally. While McDonald's reputation has suffered throughout the years, the company is still recognized for its innovations with fast food and the American business values it brings to other countries. This high degree of brand awareness help increase product sales and decrease money spent on advertising.

In fact, the McDonald's brand value has been on a steady rise over the past few years. According to Interbrand, it has increased by over $5 billion in just the last 4 years.

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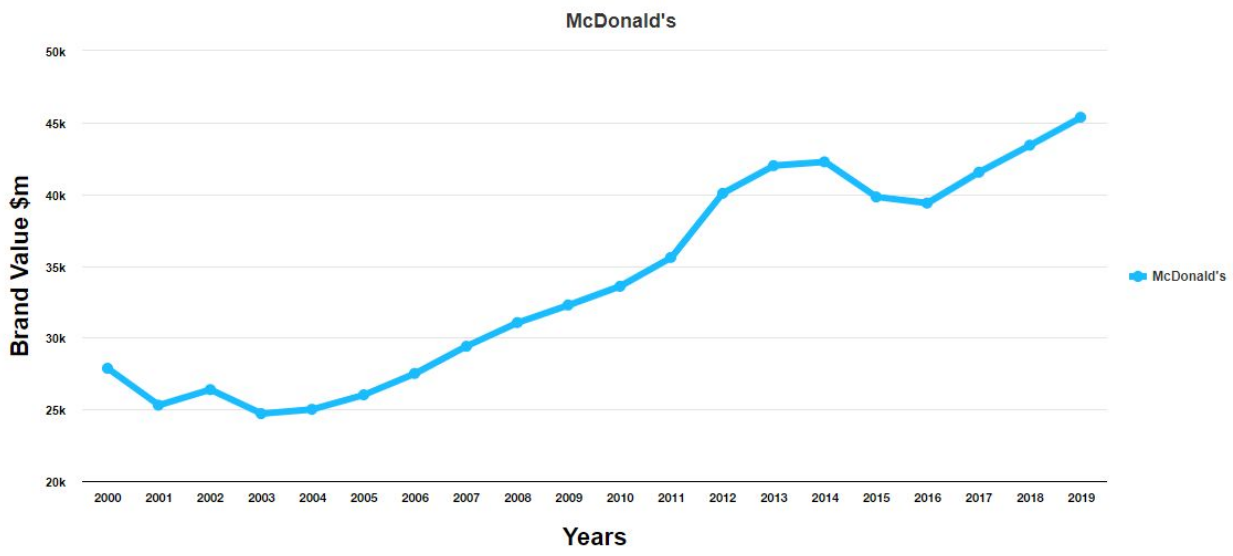

Weaknesses

Weaknesses are the opposite of strengths. They refer to the inherent negative factors that requires improvement to make the firm more competitive.

<u>High Employee Turnover</u>

The majority of jobs at McDonald's is high stress, low skilled and low paying. As a result, employees often stay for short periods of time. High employee turnover is a prevalent problem in the industry as a whole. This is a weakness for the company as it significantly increases costs; a company will have to reinvest in recruiting, training, and various fees for a new employee every time an old one leaves. Additional expenses will then negatively affect

profitability. High employee turnover will also impact company efficiency. With employees constantly leaving, the accumulation of skilled, passionate workers is rare. Recognising this shortcoming, McDonald's plans on spending nearly $1 billion to implement ordering kiosks and other technology to stores in 2019. With technology, menial positions, positions with the highest contribution to employee turnover, in restaurants can be reduced. However in the meantime, high employee turnover will remain a problem.

Low Product Diversification

Although McDonald's restaurants feature a refined menu catering to the tastes of millions, product diversification is still relatively low. Unlike competitor Yum! Brands, which has a sizable portfolio of companies satisfying a range of demands, McDonald's is restricted to affordable western fast food. Colloquially, McDonald's has all its eggs in one basket. While the company it very good at what it does, it is objectively more susceptible to changes in consumer preferences. In other words, if demand for affordable western food declines, McDonald's have less avenues to mitigate the losses.

Overdependence on Franchises

McDonald's has a successful franchise business model. Franchising allows the corporation to grow a business by selling the rights to use its brand and business model instead of building new units on its own and collect a portion of returns. As of 2019, approximately 93% of the restaurants at year-end 2018 were franchised, including 95% in the U.S., 88% in International Lead Markets, 83% in High Growth Markets and 98% in Foundational Markets. Although business is stable overall, this overdependence on franchises can be viewed as an

inherent weakness compared to competitors. For example, company initiatives can take longer implement nationwide with different owners, decreasing business efficiency. It may also lead to issues down the road. For example, the implementation of key campaigns or an important strategic choice can become difficult if the McDonald's does not find acceptance from the franchisees. Franchises can dilute control, leaving the original corporation less sway in decisions. That is just one of many potential problems that come with the over reliance of a franchise business model.

Opportunities

Opportunities refer to those avenues in the environment that surrounds the business on which it can capitalize to increase its returns.

Expansion in Developing Countries

In 2018, McDonald's US contributed 36% of McDonald's total revenue and 46% of the company's operating income for the year. International lead markets (which includes developed countries such as Australia, France, Canada, Germany, and the United Kingdom) contributed 36% of the company's revenue and 40% of its operating income. Together, the two market segments generates approximately 72% of the company's 2018 revenue.

The concentration in sources of income suggests significant expansion opportunities for McDonald's in international high growth and fundamental markets. These are mostly developing countries with great potential consumer populations such as Vietnam, China, Russia, etc.

Following the growing purchasing power of the middle class customers, demand for fast food is also increasing. McDonald's should penetrate these markets early on to foster brand loyalty and secure another stream of revenue.

Product Diversification

Following the constant change in consumer taste and preferences, McDonald's can diversify its menus, adding items to the list of signature products. This has potential in increasing sales considering the company had great success in the past with the introduction of new products such as McCafe, a later branch addition that quickly generated a significant portion of the company's total sales and spreading across locations worldwide. Other underpenetrated markets can serve as opportunities for further growth.

Going Digital

As the Company continues its ambitious pace, it is placing renewed emphasis on strengthening its relationships with customers through technology. The advancement in technology can drastically improve the customer experience ranging. The company has already made notable efforts in this realm. In 2018, McDonald's deployed kiosks in nearly 17,000 restaurants, digital menu boards in more than 21,000 restaurants, and availability of Mobile Order & Pay in over 22,000 restaurants. Technology can also provide potential marketing opportunities. McDonald's should work on capitalising on the global adoption of social media and pursuing digital marketing.

Threats

Threats are those factors in the environment which can be detrimental to the growth of the business.

Aggressive Competition

In the increasingly saturated restaurant industry, McDonald's faces significant competition. The low barriers to entry in the industry encourages a consistent increase of dining options. Its direct competitors are restaurants that, like McDonald's, offer affordable, western fast food such as Subway, KFC, Burger King, and Wendy's. Even those that do not (usually not large corporations) are becoming increasingly competitive as they capitalise on consumers' growing preference of authenticity in their purchases. McDonald's and these restaurants competes on the basis of price, convenience, service, menu variety, and product quality. The company does well in most of these metrics, sustaining a lead in market share over competitors. But regardless of McDonald's specific standings, the market is constantly changing, and greater competition in general may still threaten sales in the long run.

Healthy Lifestyle Trend

The popularisation of healthy lifestyles in recent years can continue to negatively affect McDonald's sales. The trend encourages individuals to prioritise a more nutritious diet, thus reducing the size of the fast food market as a whole. McDonald's may suffer significantly as its menu leans towards the unhealthier side, even among competing fast food restaurants. Despite McDonald's efforts to offer healthier options, the negative public perception surrounding the

chain as unhealthy prevents sales from going up too much. Initiatives began as early as September 2013, when McDonald's joined forces with the Alliance for a Healthier Generation in a global effort to increase customers' access to more nutritious options in their restaurants. The corporation drafted five commitments related to menu offerings, menu boards, packaging, and advertising and pledged to implement them by 2020.

While this initiative has made measurable progress (reflected on their 5 year report in May, 2019) since then, growth in sales have been lower than projected. This implies the sustained threat by the healthy lifestyle trend.

Product Regulations

As the industry continues to expand, regulatory pressure is also growing, The fast food companies are facing higher government control and oversight than ever. New regulations and oversight repeatedly hold restaurants to higher standards and thus increase the costs of operation. There is also no other way to avoid these costs since noncompliance can result in additional fines and losses. There are several other problems also arising out of higher regulatory pressure. The brands can face troubles while expanding into overseas markets.

Conclusion

After reviewing McDonald's strengths, weaknesses, opportunities, and threats, it is apparent that McDonald's success is greatly attributed to a strong foundation. As a mature fast food company, McDonald's is large in size, refined standardised procedures, and developed a recognised brand. Despite weaknesses such as high employee turnover, low product diversity, and overdependence on franchises, these factors give it an upper hand over competitors. In recent years, aggressive competition and healthy lifestyle trends has been threatening their market dominance, taking away existing customers and slowing customer acquisition; thus, whether McDonald's growth continues is greatly dependent on its ability to grasp new opportunities. Innovative strategies such as product diversification and a shift to technology can address the firm's reverse the negative effects of its threats and further distinguish itself from competition. Overall, McDonald's is the industry leader in terms of size and capability of organic growth. As long as it continues to innovate, it should remain as the golden standard for fast food restaurants. Thus, we view a long-term investment in McDonald's as a sound decision.

5. ESG Information

Introduction

McDonald's commitment to sustainability and social responsibility is continuing to grow and develop, especially in recent years. In hoping for greater transparency, the company has transitioned away from the former CSR and Sustainability Framework and its associated annual progress reports to the more dynamic environmental, social and governance (ESG) performance reporting website platform.

Core Values

Responsible Leadership

McDonald's is dedicated to using their scale for good in all aspects of operations. The company accomplishes this through various channels: simplifying ingredients to being nutritionally mindful, reducing waste impact, advancing the industry on sustainable and humane sourcing, being a fair employer for millions, giving help to those in most need via RMHC, and many more. These initiatives set the standard for other players in the industry. Additionally, McDonald's created positions for Global Corporate Social Responsibility, Sustainability and Philanthropy to ensure this core value is addressed.

Progressiveness

McDonald's focuses on moving forwards. This is primarily done through supporting and adopting innovations in the industry. From their original franchising business model to the invention of the drive thru to the Happy Meal, the company actively strives to improve and do things better tomorrow than they do today.

Local Integration

Since its inception, McDonald's has spread across the globe to different countries, including Australia, China, Germany, India, etc. Although it is an American company, McDonald's stay in sync with society in each of their operating countries. This means that restaurants are typically locally-owned, staffed by crew who resides nearby, committed to giving back to their respective communities via many local programs.

Corporate Governance

Board of Directors
Enrique Hernandez, Jr.
Lloyd H. Dean
Robert A. Eckert
Margaret H. Georgiadis
Chris Kempczinski
Richard H. Lenny
John J. Mulligan
Sheila A. Penrose

John W. Rogers, Jr
Paul S. Walsh
Miles D. White
Andrew J. McKenna

The Board of Directors at McDonald's is comprised of 12 members. They are responsible for overseeing the management of McDonalds and representing the interests of stockholders. The Board is relatively is relatively diverse in terms of ethnicity, with 3 out of the 12 directors being a person of colour. There is also a variety in background and expertise. For example, board member Lloyd Dean is the CEO of CommonSpirit Health and Richard Lenny works in private equity. There is, however, work to be done for the female to male to ratio as the company now has 2 females and 10 males on the Board. All the directors have experience in leadership positions, many being Chief Executive Officers (CEO) in other companies as well. The primary role of the Board is to select a well-qualified CEO for McDonald's, currently Chris Kempczinski. Beyond that, the Board of Directors review, monitor, and approve major business strategies. Furthermore, they are tasked with the selection, evaluation, development, and compensation of senior management.

Environmental Stewardship

'Scale For Good' is the company's main initiative that outlines all related goals. Below are some of the main ones.

Beef Sustainability

- By 2020, source a portion of our beef from suppliers participating in sustainability programs aligned with Global Roundtable for Sustainable Beef (GRSB) principles and criteria.
- By 2020, engage with beef producers through outreach projects to help develop and share best practices related to our Priority Impact Areas.
- Reduce the overall use of medically important antibiotics - as defined by the World Health Organization (WHO) - in our beef supply chain, focusing on our top 10 beef sourcing markets.

Packaging and Recycling Goals

- By 2025, 100% of McDonald's guest packaging will come from renewable, recycled, or certified sources.
- By 2025, recycle guest packaging in 100% of McDonald's restaurants.

Climate Action Goals

- Partner with Franchisees to reduce greenhouse gas emissions related to McDonald's restaurants and offices by 36% by 2030 from a 2015 base year.

- Commit to a 31% reduction in emissions intensity (per metric ton of food and packaging) across our supply chain by 2030 from 2015 levels.

Conserving Forests

- Eliminate deforestation in our supply chain for beef, chicken (including soy in feed), palm oil, coffee and the fiber used in consumer packaging by 2020.
- Eliminate deforestation from our global supply chain by 2030.

Corporate Social Responsibility

Ronald McDonald House Charities

McDonald's believes in giving back to the community. Restaurant operators, suppliers, employees and customers have helped support the charity since it was founded in 1974. Serving in 64 countries and regions around the world, the charity focuses on three core programs to improve the well-being of children and their families:

Ronald McDonald Houses – Shelter for those in need. Each House is just steps from the hospital and provides meals, comfort and support to families with sick kids.

Ronald McDonald Family Rooms – Located within the hospital, this program allows families a place to recharge, rest and have a snack just steps from their hospitalized child's bedside.

Ronald McDonald Care Mobiles – This brings medical, dental and health care resources to children and families in vulnerable communities.

Diversity and Inclusion

McDonalds believes in “Diversity IS Inclusion”, a value proposition where every individual feels their culture, identity, and experiences are valued and respected. To that end, the Global Diversity, Inclusion & Community Engagement team has established relationships with many local community-based organizations; key partners include Hispanic Alliance for Career Enhancement, Global Summit of Women, Catalyst, etc.

The company has also built a number of business networks themselves. McDonald’s business networks help promote an inclusive work environment, provide mentorship, support career development opportunities and grow the business. Some include the Asia Pacific Middle East Network, the African American Council, and the Global Women’s Leadership Network.

The ‘Diversity IS Inclusion’ value is also embedded in the training programs. Whether it be at Hamburger University or at global leadership development programs, McDonald’s employees are educated on diversity and encouraged to further the initiative.

Although difficult, all of these efforts are effective primarily as evidenced by a 54% to 46% ratio between women and men, respectively. There is, however, more to do. The firm is actively trying to increase the presence of women in higher management positions, where males hold 62% of roles.

Code of Business Conduct and Ethic

McDonald's is committed to conducting business ethically and in compliance with the letter and spirit of the law. All employees of the company are familiarised with the code of conduct, which is built on several ideas:

Place Customer Experience at the Core

The company acknowledges that customers are the reason for its existence. Therefore, employees are expected to demonstrate appreciation by providing their best service, high quality food, and welcoming environment.

Operate Business Ethically

Employees hold themselves and conduct business to high standards of fairness, honesty, and integrity.

Committed to the People

McDonald's is invested in its employees. The corporation provides opportunity, develops leaders, and reward achievements. They believe that a team of well-trained individuals collaborating in an environment of mutual respect is the foundation of continued success.

Give Back to Communities

The company help our customers build better communities, support RMHC, and leverage our size, scope and resources to help make the world a better place.

Grow the business profitably

As part of a publicly-traded company, everybody works to provide sustained profitable growth for our shareholders.

Strive Continually to Improve

McDonald's is a learning organisation that aims to anticipate and respond to changing customer, employee and system needs through constant evolution and innovation.

In addition, every member of the McDonald's Board is also required to sign and adhere to a Board of Directors code of conduct that outlines the standards of loyalty, good faith, and the avoidance of conflicts of interest. Some of the main points include:

- Act in the best interests of, and fulfill their fiduciary obligations to, all McDonald's shareholders
- Make available to and share with fellow Directors information as may be appropriate
- Respect the confidentiality of information relating to the affairs of the Company acquired in the course of their service as Directors, except when authorized or legally required to disclose such information
- Conduct themselves in a professional, courteous and respectful manner

6. Major Accounting Policies

Introduction

McDonald's financial statements have been prepared in accordance to the generally accepted accounting principles (GAAP). This is practice is mandatory in the United States.

Revenue

McDonald's utilises the accrual system in revenue and expense recognition, a standard for public companies operating in the United States. This means that revenues are recorded immediately when the services are provided (collected or not) and expenses are recognised immediately when they are incurred (paid or not). McDonald's revenues consist of sales by Company-operated restaurants and fees from franchised restaurants operated by conventional franchisees, developmental licensees and foreign affiliates. Revenues from restaurants that are not corporate-owned can be further catogorised into initial application fees, rent payments, and royalties based on a percent of sales. It is important to note that these are labelled separately on all financial statements.Corporate recognizes these revenues from franchisees upon a new restaurant opening and at the start of a new franchise term.

McDonald's actively make adjustments to extenuating cases when analysing revenues. For example, in 2018 and 2017, the company excluded sales from markets identified as hyper-inflationary (currently only Venezuela) from the comparable sales calculation as the company believes this more accurately reflects the underlying business trends.

Intangible Assets and Goodwill

Goodwill is an intangible asset representing the excess cost over the net tangible and identifiable intangible assets of an acquired restaurant business. The company's goodwill primarily results from purchases of McDonald's restaurants from franchisees. The company assesses goodwill impairment in the fourth quarter of each year or whenever an indicator of impairment exists. If an indicator of impairment exists, the fair value of a reporting unit will be compared to its carrying amount including goodwill. If the carrying amount exceeds the fair value, an impairment loss is measured as the difference between the implied fair value of the reporting unit's goodwill and the carrying amount of goodwill. Historically, goodwill impairment has not significantly impacted financial statements. Accumulated goodwill impairment losses reported on the Balance Sheet at December 31, 2018 and 2017 were $15.6 million and $14.5 million, respectively.

Depreciation and Amortization

In calculating depreciation and amortisation for property and equipment, McDonald's uses the straight line method over the following estimated useful lives:

- Buildings - up to 40 years
- Leasehold improvements - the useful lives of assets or lease terms, whichever is lesser
- Equipment - 3 to 12 years

Long-lived assets are reviewed for impairment annually in the fourth quarter and whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. For the purposes of annual review, assets are initially grouped

together. If an indicator of impairment exists for any grouping of assets, an estimate of undiscounted future cash flows produced by each individual restaurant within the asset grouping is compared to its carrying value. If an individual restaurant is determined to be impaired, the loss is measured by the excess of the carrying amount of the restaurant over its fair value as determined by an estimate of discounted future cash flows. Losses on assets are only recognised when the Board of Directors and management have approved and decided on a plan to dispose of the assets. It is also important to note that all assets are recorded at historical cost.

Inventory

It is assumed that McDonald's, like other companies operating in the food industry, uses the FIFO method of tracking inventory.[5]

[5] McDonald's disclosed inventory as "at cost, not in excess of market" in the 10K. The method of calculation is likely not specified because it is of little significance compared to large assets such as PP&E

7. Conclusions and Recommendations

Conclusions and Recommendations

Over the past few years, McDonald's has sustained a steady path upwards as they continue to innovate and expand the large, existing franchise network. As of 2018, McDonald's Corporation operate 37,241 restaurants worldwide, making up a significant portion of the fast food industry.

In terms of profitability, metrics suggest that McDonald's has moderately strong profitability at this moment in time and prospects of continued success in the future. Although the recent focus on franchising has lowered total revenue, it demonstrated a net positive effect on company profitability as other indicators such as Net Income and Earnings Per Share (EPS) seems to be trending upwards. One highlight is that McDonald's EPS is recorded to be significantly higher than competitors.

The McDonald's Corporation also demonstrates a relatively high liquidity. When compared to competitor Yum! Brands, McDonald's does not have the overall highest operating ratio; however, they are by far the more stable, signifying greater over control finances and consistent operating expenses from 2014 to 2018. Unlike operating ratios, investing and financing ratios are primarily negative, which is not necessarily bad. It actually suggests the company is healthy, actively purchasing in new equipment to replace their old equipment and are investing in bonds or stock. In fact, the repurchasing of company stock in the past two years can also explain the high EPS, as it decreases the number of shares in circulation. In looking at the liquidity and solvency of McDonald's, we deemed the company as healthy and gathered insight into its specific business strategies.

Flexibility is McDonald's strongest financial metric under evaluation. Indicators such as cash holdings and debt to equity ratios suggest that the company does not rely as heavily on debts to fund assets and finance operations as Yum! Brands, meaning less risk for stockholders. There is, however, room for improvement as McDonald's has a relatively low fixed asset turnover. This implies that the firm is not utilising its fixed assets as efficiently as can be. It is also important to note that McDonald's maintains a significantly high property, plant, and equipment value which generates most of their revenue.

These financial indicators combined with the SWOT and ESG analysis form a holistic evaluation deeming McDonald's Corporation as a worthy investment target. The company consistency demonstrates respectable numbers, indicating sound operations, and focuses on investments in new assets and initiatives. Although the growth has only been moderate from 2014 to 2018, McDonald's shows great potential moving forward when their large investments in assets pays off and new initiatives are well implemented. As the firm continues on its ambitious path, it is also important to understand the value of their experiences and diverse board plays in the McDonald's overall success in the past and the future. In short, investing in McDonald's, a leader in the fast food industry, is a safe investment in the short run that can yield significant positive returns in the long-run.

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